

Korea Research

Korea super-cycle continues into 2030,
driven by AI and globalization

Industry Overview

AI and globalization to drive growth through 2030 growth

We identify AI and globalization as Korea's long-term growth catalysts. AI impact (on earnings) has been exceptionally strong through 2025-26. Separately, we have observed growing global demand for K-products (defense, shipbuilding, autos, beauty, biotech, entertainment). This increases M&A deals and capex spend. Korea's annual exports are expected to hit US\$1.0tn in 2026 (already US\$0.7tn through Aug exceeding Japan's), led by more AI-related products (advanced packaging memory, air defense, data center power/cooling) and price/quality competitive cosmetics, bio, etc. Overall, we are bullish on most Korean companies we cover, assuming a sustainable super-cycle through 2030.

Nearly 100 stocks and 20+ sectors covered

We cover c.100 Korean stocks (including US-listed Coupang and Hynix ADR) and 20+ sectors (memory, hardware tech, auto, shipbuilding, defense, electric power/equipment, batteries, oil/chem, beauty, retail, internet, telecom, k-pop, gaming, financials, etc.). While many Korean companies have further growth potential 2030, our Buy-rated stocks account for only 63% of our coverage universe vs 21% Neutrals and 16% Underperforms due to varying stock upside and business risks (competition from China or low margins).

Tech/defense/power/consumer/bio likely to outperform

Our preferred sectors are tech (more specifically memory, MLCC, FC-BGA, cooling IT service), defense (aerial-warfare-related drones/radar/mmWave), shipbuilding (diesel power), auto (ADAS, long-range), electric power equipment (DC transformer, nuclear), beauty, bio and financials. Key stocks include Samsung Electronics, SK Hynix, SEMCO, LG Innotek, Doosan, LG Electronics, Hanwha Aerospace, LIG, HD Hyundai, KIA, LS Electric, Doosan Enerbility, APR, Cosmax, Samsung Bio, KB and Samsung Life.

Value-up program on track led by conglomerate/financial

Korea's value-up program has progressed well amid tax incentives (dividends) and treasury-share cancellation (increasingly mandatory) over past 2-3 years. Meanwhile, significant cash dividend (Samsung) and share buyback (Hynix) were well announced in August. Holdcos (Samsung C&T, SK Square) and financial companies are also expected to increase payout ratios with record-high dividend income or improving asset quality.

P/E, debt and inventory broadly low vs high capital returns

Our bottom-up approach (~100 companies) points to low P/E (Samsung, Hynix), low debt (or net cash) and low inventories, but high capital returns (including buyback) led by memory/holdco/financial/telecom companies. Analyst views start from page 7.

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Refer to important disclosures on page 61 to 66. Analyst Certification on page 42. Price Objective Basis/Risk on page 30.

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18 September 2026

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Exhibit 1: Bullish on AI and globalization

2030 Korea catalysts by sector

Sector	2030 catalysts
Tech	Memory super-cycle, AI components
Industrial	Air defense, ADAS, robot
Power	Nuclear, transformer
IT service	AI transformation, data centers
Consumer	Global expansion of k-beauty/pop
Bio	CDMO – new modalities
Financial	Acceleration toward AI/on-line

Source: BofA Global research

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See Glossary in page 29

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BofA Korea analysts' coverage

Exhibit 2: We choose AI and globalization as Korea's long-term growth catalysts; AI impact to be exceptionally strong while globally demanded K-products to increase M&A deals and CAPEX to drive higher sales

BofA 2030 catalyst table

Sector	BofA analyst	2030 catalyst	Key stocks
Memory	Simon Woo, Matt Shin	LTA, oligopoly, high margin, less cyclical, capital return (50%+ of FCF)	Samsung Electronics, SK Hynix
HW tech	Simon Woo, Matt Shin	MLCC/FC-BGA/PCB/cooling for AI data center	SEMCO, LG Innotek, LG Electronics
Holdco	Simon Woo, Matt Shin, Jinhan Chun	Dividend, buyback, governance	SK Square, Samsung C&T, Doosan Corp
Financial	Jisun Lee	Acceleration toward AI/online, capital return	KB, Samsung Life
Defense	KJ Hwang, Dongho Shin	Export diversification to layered air defense in DM	Hanwha Aerospace, LIG D&A
Auto	KJ Hwang, Dongho Shin	Segment expansion to EREV and SDV in Korea/US	Kia Corp, HL Mando
Shipbuilding	KJ Hwang, Dongho Shin	Penetration into DC via engines & nuclear equipment	HD Hyundai Heavy
Industrial/steel	KJ Hwang, Dongho Shin	Product mix transition from steel to energy in America	POSCO Holdings
Transport	Nathan Gee, Amy Han	Post-M&A synergy at Korean Air	Korean Air
Nuclear/power	Taekyoung Ha	US NPP acceleration, SMR scale-up	Doosan Enerbility
Power equipment	Sun Jung Lee	Direct current products (SST), 765kV transformers	LS Electric, HD Hyundai Electric
Batteries	Taekyoung Ha	ESS new orders, solid-state battery commercialization	L&F, LG Energy Solution, Samsung SDI
Oil/chem	Sun Jung Lee	Refining: Tight supply; Petchem: capacity restructuring	S-Oil, GS Holdings
Consumer	Ahyung Cho, Zoe Chun	Overseas expansion and product diversification	Amore, APR, Cosmax, Kolmar
Bio	Zoe Chun	Regional/modality diversification post M&A	Samsung Biologics
Internet	Ahyung Cho, Zoe Chun	Roll out of various AI service & partnership with strategic investors	Naver, Coupang
IT service	Simon Woo, Matt Shin, Jinhan Chun	AI transformation, local data centers, US Big Tech	Samsung SDS, LG CNS
Telecom	Sun Jung Lee	Data center operations with capacity expansion	LG Uplus
Gaming	Jinhan Chun	AI companion, 3D hologram, LLM development	Krafton
Entertainment	Sun Jung Lee	Diverse business models for merchandise	HYBE

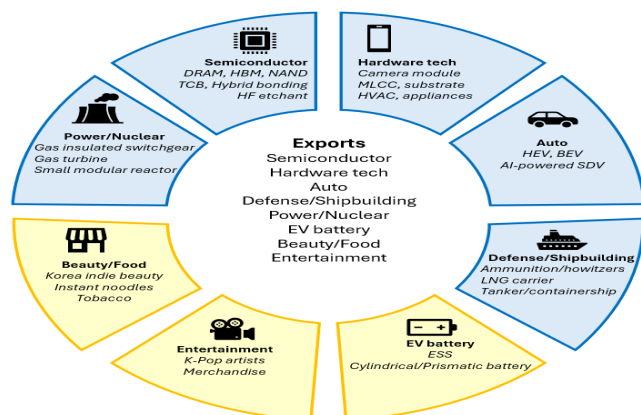
Source: BofA Global research estimates

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Exhibit 3: Korea's economic growth is heavily dependent on AI/exports – key products include semiconductor, auto, defense

Export-oriented sectors in Korea

*Blue = high impact of AI vs Orange = low impact of AI



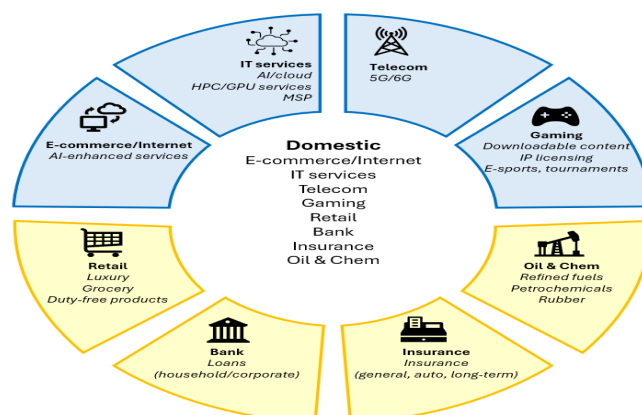
Source: BofA Global Research

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Exhibit 4: Domestic market-focused sectors include retail, internet/e-commerce, IT services, telecom, bank/insurance, gaming, oil & chem

Domestic market-centric sectors in Korea

*Blue = high impact of AI vs Orange = low impact of AI

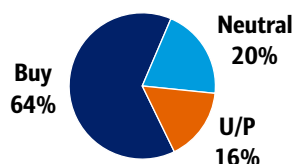


Source: BofA Global Research

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Exhibit 5: Buys (64% of total 100 stocks) vs 20 Neutrals (20%) and 16 U/Ps (16%)

BofA Korea research team's coverage mix by rating

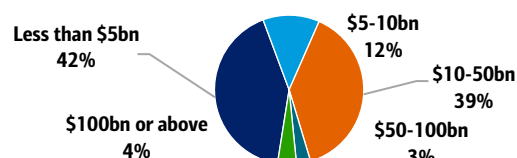


Source: BofA Global Research

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Exhibit 6: Samsung/Hynix entered trillion-dollar club thanks to AI boom but most stocks trade at sub-US\$100bn

BofA Korea research team's coverage mix by market cap



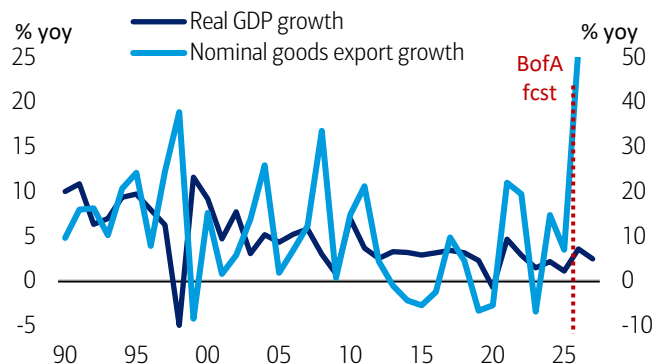
Source: BofA Global Research

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Korea market trend

Exhibit 7: We expect GDP growth to expand by 3.6%/2.5% in 2026/27, helped by exports

Goods export growth and GDP growth (forecast for 2026 and 2027)

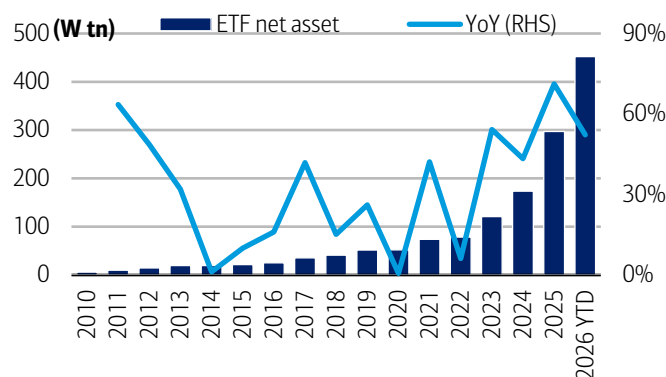


Source: BofA Global Research estimates. Nominal goods export growth as of 2026 Aug year-to-date numbers

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Exhibit 9: ETF net asset value still high (W452tn as of Sept; +52% YoY)

ETF net asset value and YoY growth trend



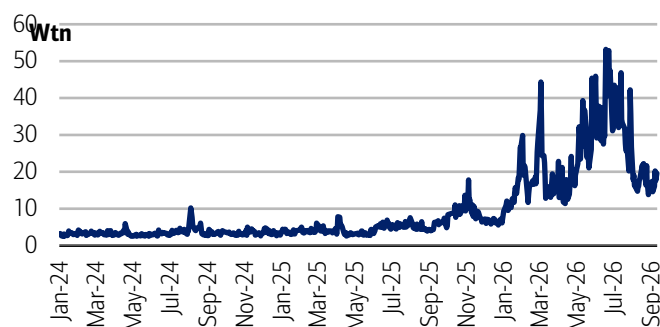
*ETF net asset reflects the total value of underlying assets, net of fees and expenses

Source: Korea Exchange, BofA Global research

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Exhibit 11: ETF trading value peaked out in Jun-26 (W50tn+) and down to W20tn+/- in Sep – still a few times higher than 2024-25 average

ETF daily trading value in 2024-2026

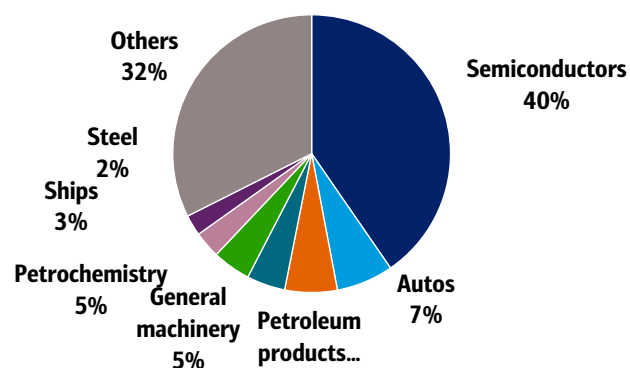


Source: Korea Exchange, BofA Global research

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Exhibit 8: Semiconductor takes up 40% of total exports in 2026

Korea export mix ratio in 2026 (As of August)

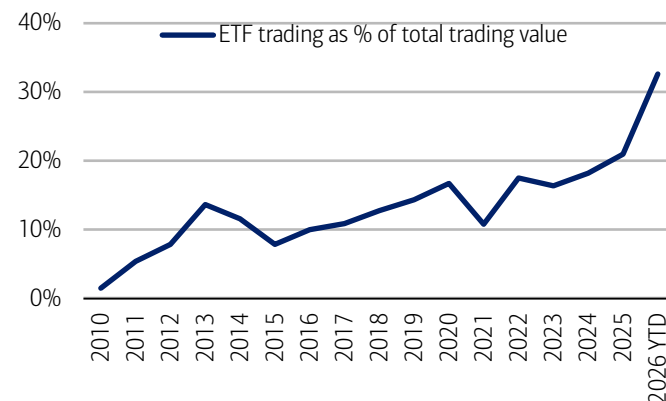


Source: Haver, BofA Global Research

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Exhibit 10: ETF trading significantly increased YTD (33% of total stock trading value) vs long-term historical average of 10-20%

ETF trading as % of total stock trading value

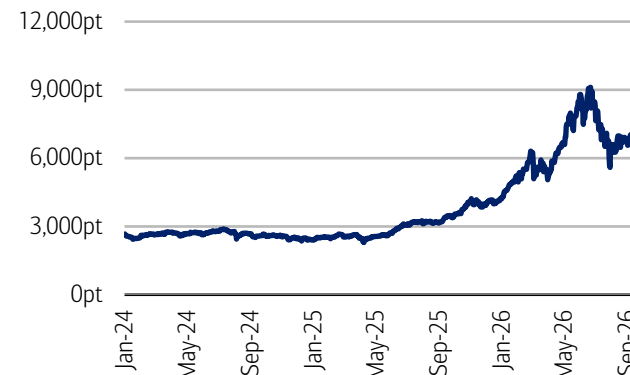


Source: Korea Exchange, BofA Global research

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Exhibit 12: KOSPI has been more volatile with 2x leveraged ETF launch (effective 27 May 2026)

KOSPI - rally and correction more notable YTD



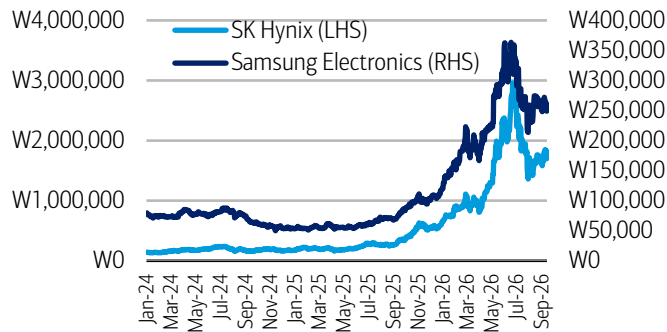
Source: Korea Exchange, BofA Global research

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Exhibit 13: Samsung and Hynix share price corrections mostly related to downturn concerns (AI bubble or memory price cut)

Samsung Electronics and SK Hynix – share price

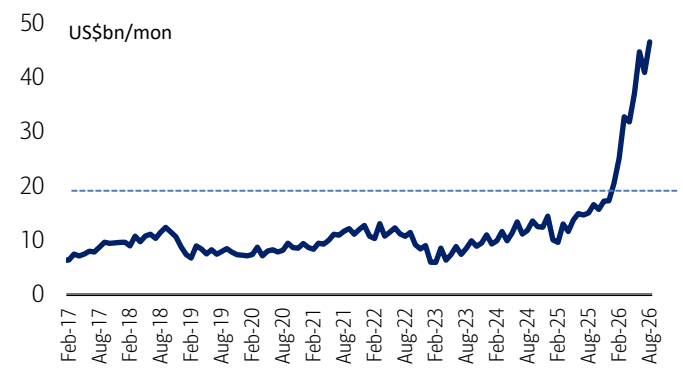


Source: Bloomberg, BofA Global research

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Exhibit 14: Over US\$30bn for six consecutive months, and reached all-high level of US \$47bn (MoM 14%, YoY 209%) led by DRAM

Korea Semis exports - US\$bn/month

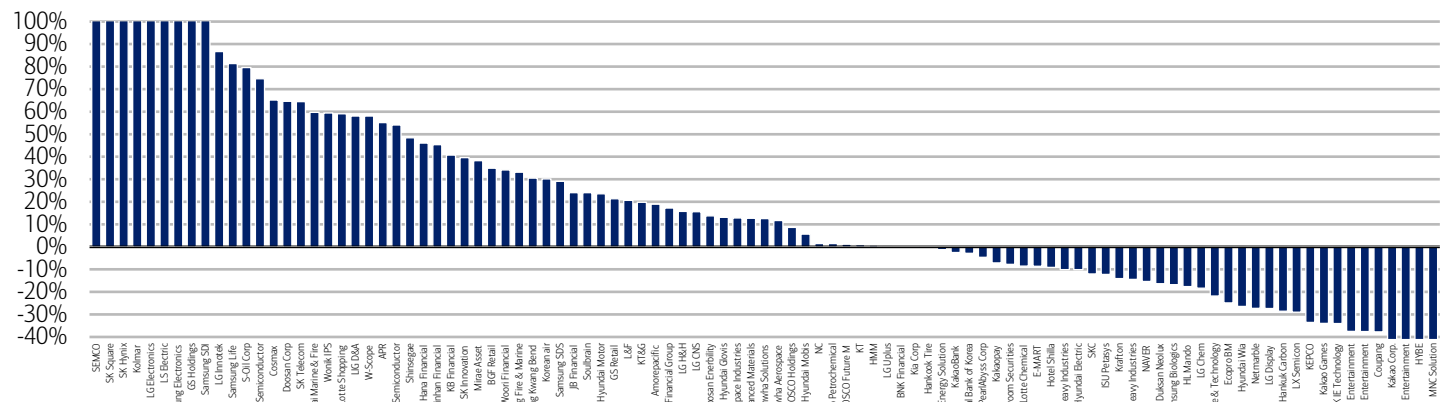


Source: TRASS, BofA Global research

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Exhibit 15: Memory/component/power/battery/finance stocks relatively outperformed YTD

2026 YTD stock performance comparison among BofA Global Research Korea analysts' coverage



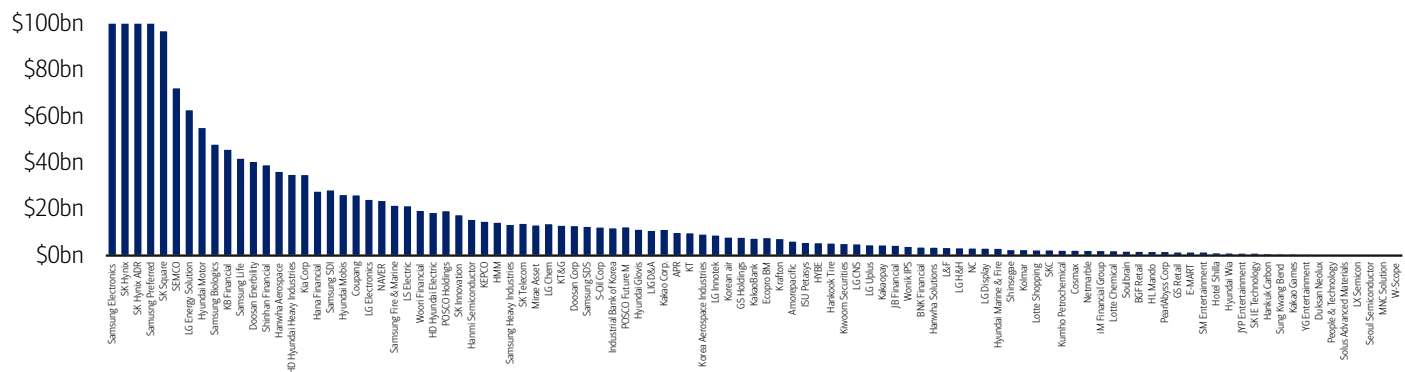
*SEMCO +415%, SK Square 171%, SK Hynix 159%, Kolmar 133%, LG Electronics 120%, SEC 106%, GS Holdings 105%, Samsung SDI 102% YTD axis scaled to show more relative comparison

Source: Bloomberg, BofA Global Research

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Exhibit 16: Samsung Electronics and SK Hynix entered trillion-dollar club thanks to AI boom but most stocks trade at sub-US\$100bn

Current market cap comparison among BofA Global Research's Korea analysts' coverage



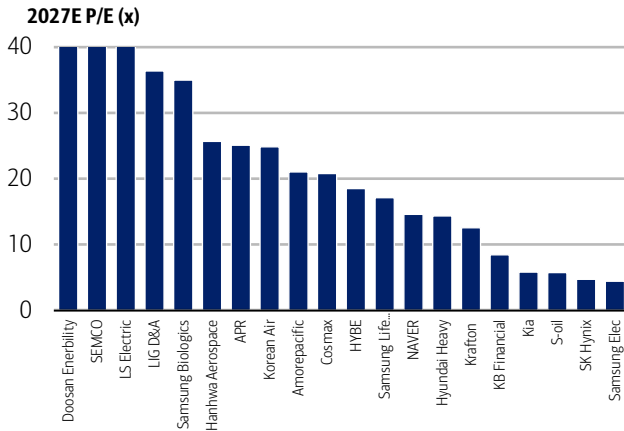
*SEC- \$1,241bn SK Hynix and SK Hynix ADR- \$911bn YTD axis scaled to show more relative comparison

Source: Bloomberg, BofA Global Research

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Exhibit 17: 2027 P/E comparison – semis/auto still show low multiples

P/E multiples among major Korean stocks



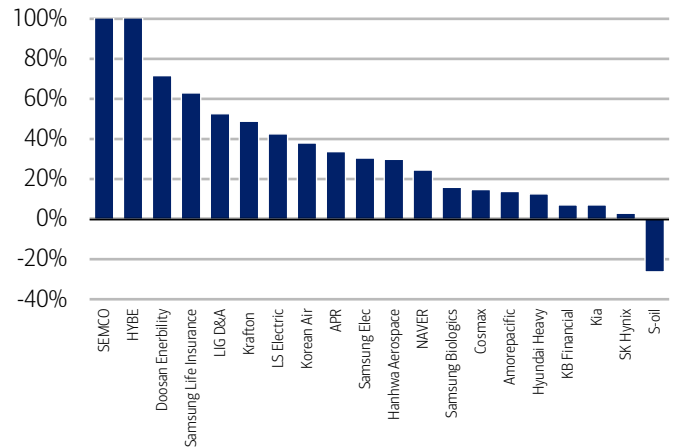
*Doosan Enerbility/ SEMCO/ LS Electric's 2026E P/E shows above-40x; axis scaled down

Source: BofA Global Research estimates

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Exhibit 18: 2027 EPS growth comparison – high growth continues ex-memory; Hynix's low growth should be a matter of 2026 high base

Strong growth well expected among major tech/export plays



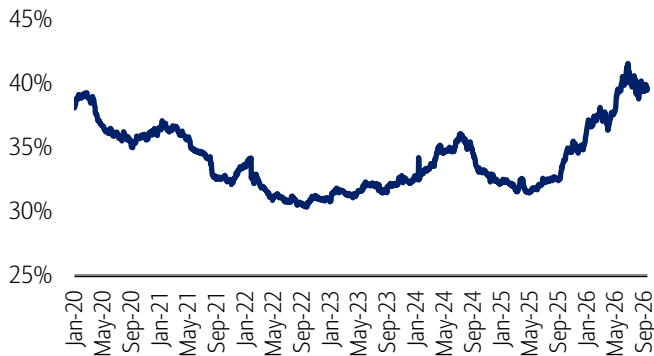
*HYBE/SEMCO's 2027E EPS growth shows +170%/+150%; axis scaled down

Source: BofA Global Research estimates

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Exhibit 19: Foreign ownership of KOSPI slightly declined in Aug-Sept 2026 after July peak (40%+) but still higher than historical average

Foreign ownership ratio of KOSPI listed shares

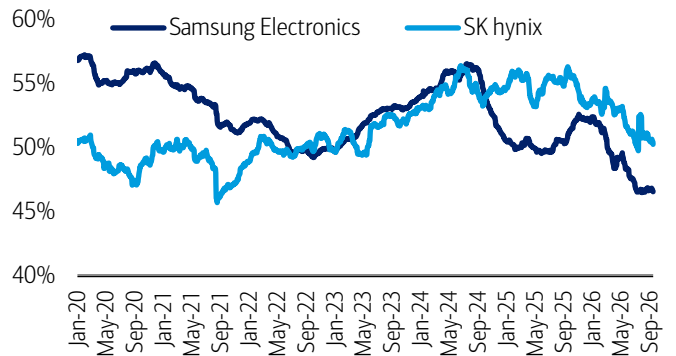


Source: Quantwise, BofA Global research

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Exhibit 20: Foreign ownership has declined YTD due to profit taking; Hynix's 50.2% appears higher than Samsung's 46.5% as of 17 Sept

Foreign ownership ratio of SEC and SK Hynix

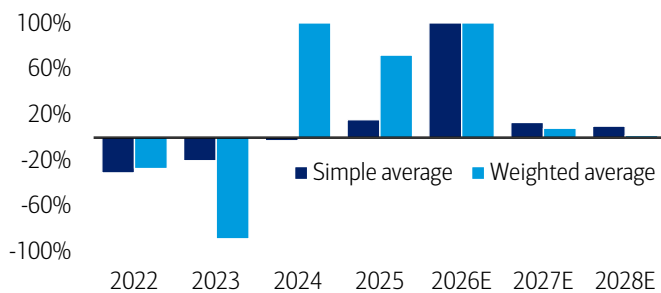


Source: Quantwise, BofA Global research

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Exhibit 21: Record high EPS sustainable into 2027-28 even after 2025-26 upturn; AI and globalization continuously catalysts

EPS growth of the BofA Korea coverage universe, 2022-2028E – simple/weighted average growth comparison due to Samsung/Hynix



*Note: Simple EPS growth is calculated YoY Change in the sum of EPS across the coverage
Weighted average EPS growth is calculated YoY Change in the sum of EPS times the portion of market cap across the coverage

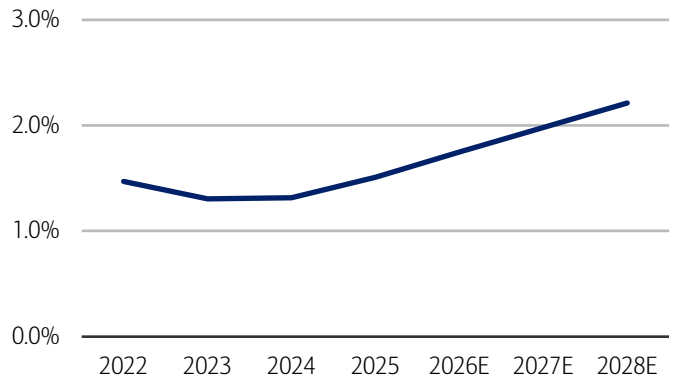
* Axis scaled to 100% for as 2024 and 2026E

Source: BofA Global research estimates

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Exhibit 22: Dividend yield has been steadily growing, and total capital return could be higher if share buyback/cancellation included

Dividend yield of the BofA Korea coverage universe, 2022-2028E



*Note: Dividend yield represents the simple average across the BofA Korea coverage universe

Source: BofA Global research estimates

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Memory -Simon Woo, Matt Shin

Memory everywhere, with more packaged solutions

NVIDIA's BlueField-4 should be a good case on how high-end and various different memory chips are connected massively via DPU/NVSwitch in AI training/inferencing areas: HBM+GPU, SOCAMM+CPU, CPX/GDDR7 (or HBM), KV (key value) cache memory with eSSD, boot drive (with NAND), etc. Google's TPU 8t (expandable to 9,600 TPUs with 2PB of HBM) and Amazon's Trainium 4 (even 1.0mn units of Trainium can be established in just one cluster) also present significant upside to HBM demand. Since next-gen HBM requires more DRAM dies stacked (for 16-hi, 20-hi, etc.) with logic die (controller), advanced packaging (TCB - thermal compression bonding or eventually HB - hybrid bonding) will become increasingly more critical for new AI data center builds. KV cache memory could require not only eSSD, but also relatively high-speed HBM or SOCAMM (LPDDR5).

Overall, memory chips are likely to be deployed across a broader range of applications/areas (e.g., Rubin, TPU 8t, Trainium) vs previously PC/smartphone-centric consumption. Korean chipmakers' new fabs (Yongin, Pyeongtaek and even Kwangju in Korea) will be used more HBM and AI memory instead of conventional DRAM or NAND.

Super-cycle likely to continue into 2030

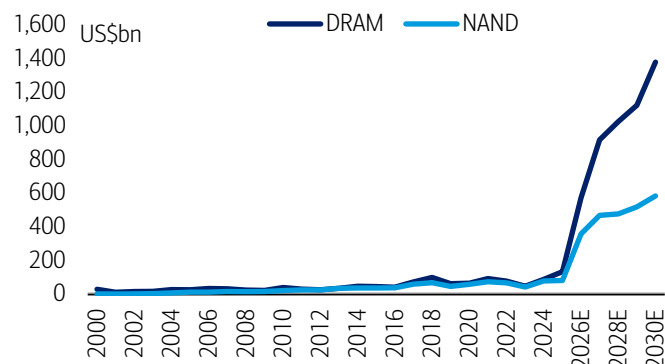
AI capex could more than double in 2030 (US\$3tn+ for global) vs 2026/2027 (already US\$0.7tn/US\$1.0tn likely counting just the four US Big Tech names - Google, Microsoft, Amazon and Meta). This should drive memory TAM to ~US\$2.0tn by 2030 vs US\$0.2tn/US\$0.9tn in 2025/26. Assuming 50%+ OP margins are sustainable for most DRAM and NAND chipmakers, the industry OP (memory) can easily reach US\$1.0tn by 2030. This can suggest a fair market cap of US\$10tn if 13x P/E is applied (25% tax rate assumed), highlighting the potential for a sustained memory super-cycle, in our view.

Win-win situation among supply chain companies

The memory super-cycle should also create long-term growth opportunities for equipment vendors (not only front-end but also backend including TCB) and material suppliers. Since Korea's local supply chain companies have well established long-term partnership with Samsung Electronics and SK Hynix, we also expect small cap companies' 2030 revenue/margin expansion opportunities.

Exhibit 23: Global memory forecasts – super-cycle with record high revenue continues into 2030

DRAM and NAND global sales, US\$bn

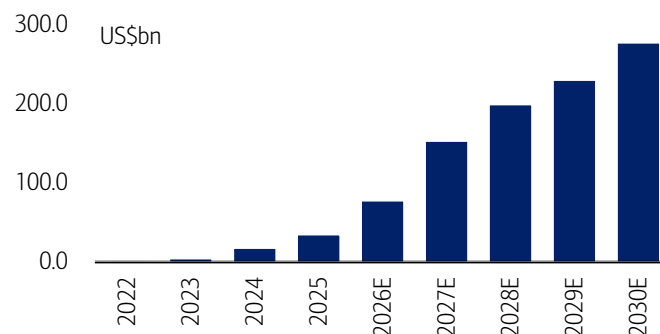


Source: BofA Global Research estimates

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Exhibit 24: HBM market expected to grow at a CAGR of 50%+ from \$35bn in 2025 to high-\$200bn (~US\$300bn also possible) in 2030 driven by GPU/TPU/ASIC – no de-spec assumed

HBM revenue trend, US\$bn



Source: BofA Global Research estimates

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Hardware tech -Simon Woo, Matt Shin

More high-end MLCC, BGA, CCL, cooling and auto parts

Korean tech companies should be positioned to supply more advanced passive components and hardware tech solutions through 2027-30 vs 2022-25. The key contributors should be strong demand (US Big Tech), capacity expansion (Asia) and R&D (low-power, high-speed, customized size – small-size at micron-level or large). Newly growing areas, such as AI data center MLCC/FC-BGA/CCL/cooling solutions (CDU – coolant distribution unit) and robot (actuators) / auto parts (e-motor/powertrain, infotainment, camera) should provide growth opportunities through 2030. We expect 20%+ CAGR in 2026-30 OP for Korea's leading hardware tech companies – SEMCO, LG Innotek (LGI) and LG Electronics (LGE).

Focus on LTA with US Big Tech customers

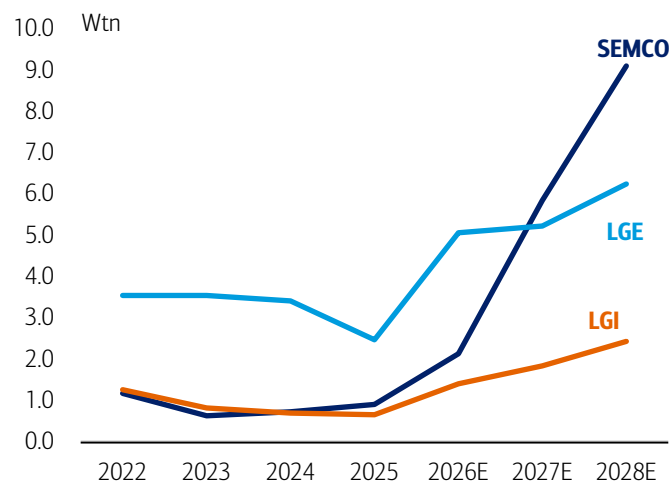
LTA (long-term agreement) is not just limited to the memory chip business and is increasingly being for FC-BGA. US Big Tech companies or hyperscalers have, in our view, already agreed to prepay a few billion dollars to SEMCO/LGI to secure FC-BGA sourcing for 2028-30. These prepayments should support FC-BGA capacity expansion, particularly in Vietnam (both SEMCO and LGI according to our analysis). Doosan Corp's more aggressive CCL capacity expansion (mostly for GPU/switch boards) is also consistent with strongly growing FC-BGA demand. LGE's CDU capacity expansion should be based by NVIDIA's qualification (2MW in 3Q26, and eventually 4MW in late 2026 or 2027) and new orders from Big Tech customers (likely Microsoft, etc.).

High capex and Asia-centric manufacturing

Overall, Korea's hardware tech (ex-memory) also shows 2030 growth opportunities with US Big Tech / LTA / pre-payments. The related capacity expansion is also well diversified across the region – Korea (FC-BGA, CDU, actuator), Vietnam (FC-BGA), Thailand (CCL), China (MLCC, CCL), Philippine (MLCC), etc.

Exhibit 25: Strong OP growth mostly based on AI or US Big Tech

SEMCO, LGI and LGE – annual OP trend 2022-28E

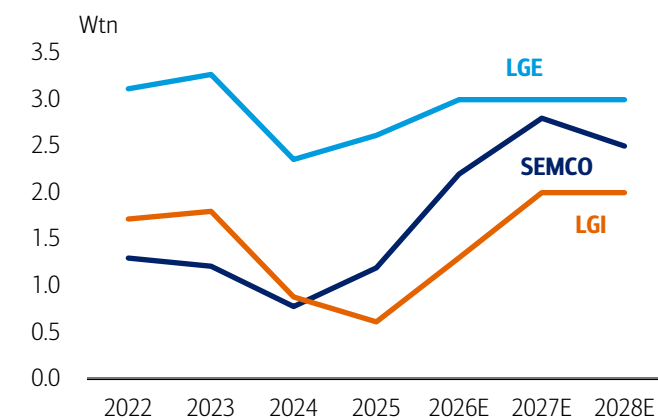


Source: Companies, BofA Global Research estimates

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Exhibit 26: Capex is set to rebound across all three companies from 2026, with SEMCO/LGI leading the growth due to FC-BGA; LGE remaining stable

SEMCO, LGI and LGE – annual capex trend 2022-28E



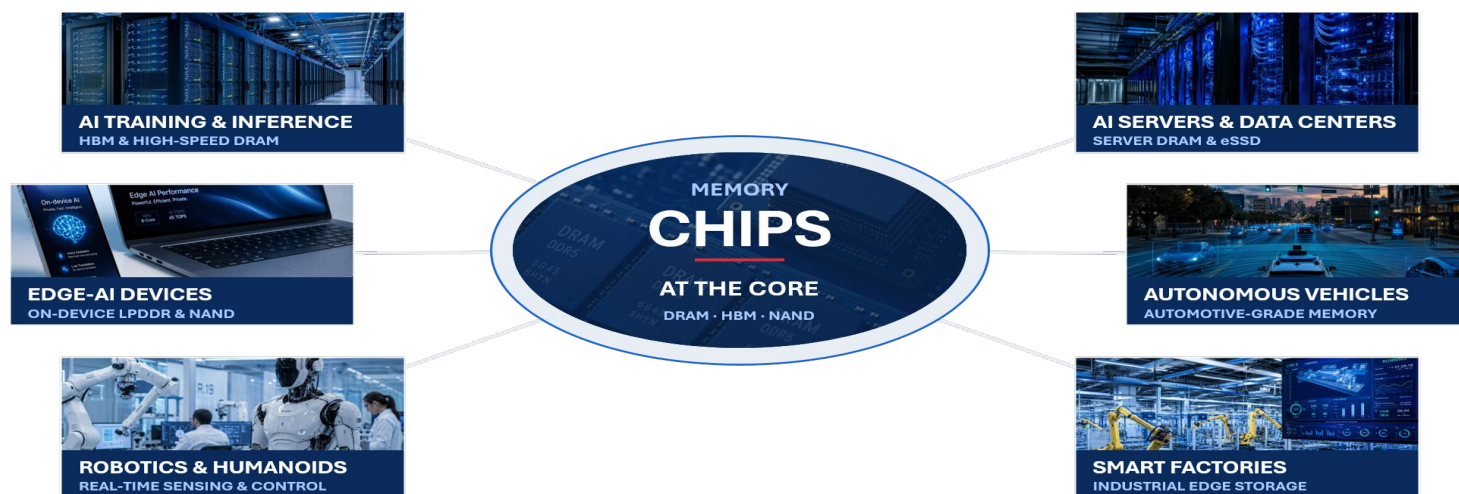
Source: Companies, BofA Global Research estimates

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Exhibit 27: Memory is not just a chip; it is becoming the essential infrastructure that powers AI, autonomous systems, intelligent manufacturing, robotics & humanoids, and the digital economy

Applications of memory chips – moving from consumer electronics to AI Data Centers / AI Devices / Robotics / Autonomous Vehicles / Smart Factories

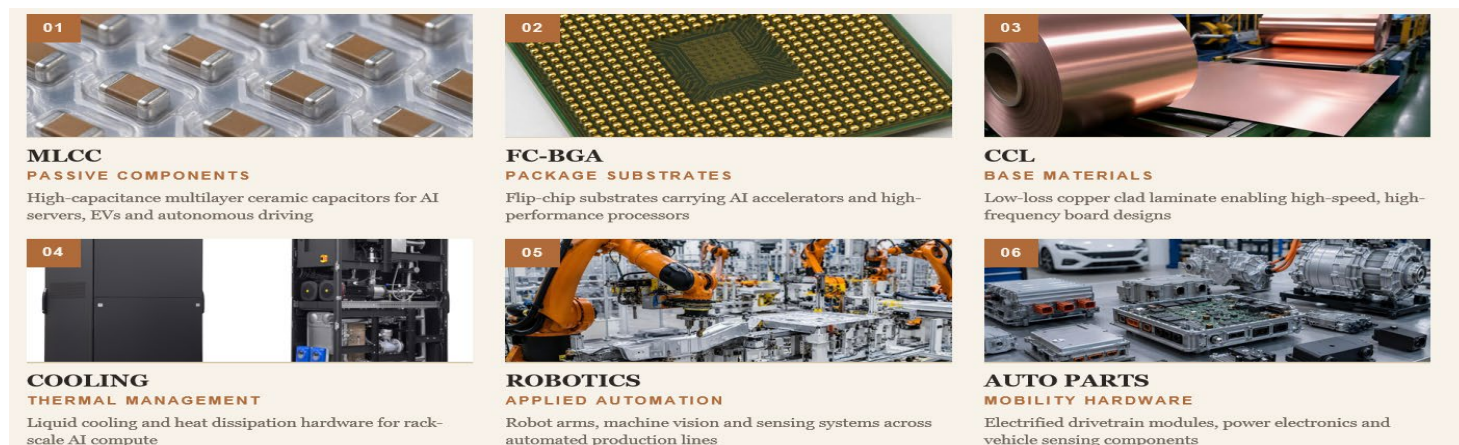


Source: BofA Global Research

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Exhibit 28: Korea hardware tech growth opportunities more diversified with AI/auto/robot

More value added MLCC, FC-BGA, CCL, cooling, robot, auto parts are expected to be well developed/supplied by SEMCO, LGI, LGE, etc



Source: LGE, BofA Global Research

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Exhibit 29: Memory and hardware tech will lead to Korea's long-term growth and shareholder value creation: AI drives demand for memory and technology infrastructure; advanced manufacturing boosts productivity; export leadership more outstanding even in non-tec (defense, industrial, power, k-beauty/pop); and shareholder value increase with rising payout ratio

AI + Advanced Manufacturing + Export Leadership + Capital Returns = Korea's 2030 Growth Story



Source: BofA Global Research

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Autos – KJ Hwang, Dongho Shin

Gearing up with new EREVs/SDVs in 2027

The next phase of the automotive industry is likely to be driven by electrification and software. While hybrid EVs (HEVs) have gained strong customer tractions on the back of superior fuel economy amidst rising gasoline prices, we expect South Korea's launch of new Extended range electric vehicles (EREVs) to emerge as an attractive transitional solution from 2027, particularly in markets where charging infrastructure remains insufficient for battery electric vehicles (BEVs). For automakers, EREVs can expand the addressable market by alleviating range anxiety while preserving many of the cost and performance advantages of electric drivetrains. At the CEO Investor Day, Hyundai Motor unveiled plans to launch Genesis premium versions and Santa-Fe SUV models in 2027. By 2030, Korean OEMs look set to offer diversified powertrain portfolios spanning BEVs, EREVs, ICEs, and HEVs, tailored to regional demand and regulatory requirements.

Vehicles are increasingly evolving from transportation products into connected computing platforms. Software-Defined Vehicles (SDVs) are expected to transform automobiles from hardware-centric products into continuously upgradable mobility platforms. Vehicle functionality will increasingly be enhanced through over-the-air (OTA) updates, AI-powered driver assistance, autonomous driving features, and personalized in-car digital services. As recurring software and subscription revenues become a larger earnings contributor, competitive differentiation may shift away from traditional manufacturing scale toward software capabilities, data ecosystems, and user experience. Key beneficiaries could include OEMs with strong in-house software stacks, autonomous driving capabilities, and integrated mobility service platforms.

Key stocks: Kia Corp, Hyundai Motor, HL Mando

While Kia is already well positioned for the electrification transition with a strong entry-level EV lineup including the EV3, EV4 and EV5, we expect the company to continue to target a broader customer base with new EREVs following Hyundai's EREV powertrain introduction in 2027. HL Mando is a key beneficiary of both EV and SDV adoption through products including brake-by-wire, electric power steering (EPS), vehicle motion control (VMC), ADAS and radar systems, positioning the company to benefit from increasing software and electronics content per vehicle.

Exhibit 30: EREV snapshot unveiled by Hyundai Motor at CEO Investor Day

EREVs can expand the addressable market by alleviating range anxiety while reducing battery capacity over 50% with equivalent power



Source: Company data, BofA Global research

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Defense – KJ Hwang, Dongho Shin

A strategic shift to multi-layered air defense

Following the evolution of aerial weapon technologies, new forms of missile-drone hybrid attacks and saturation tactics have depleted global munition/missile inventories. At the same time, oil infrastructure targeting low-cost swarm drones etc. led to energy security challenges. Worldwide defense procurement plans are being reprioritized on capabilities to 1) fast-replenish munitions/missiles and 2) offer affordable interceptors due to rising cost asymmetry (c.\$4m PAC-3 interceptor vs. >\$200k drones). We expect global militaries to pivot toward cost-effective interception solutions under integrated multi-layered-air-defense (MLAD) system.

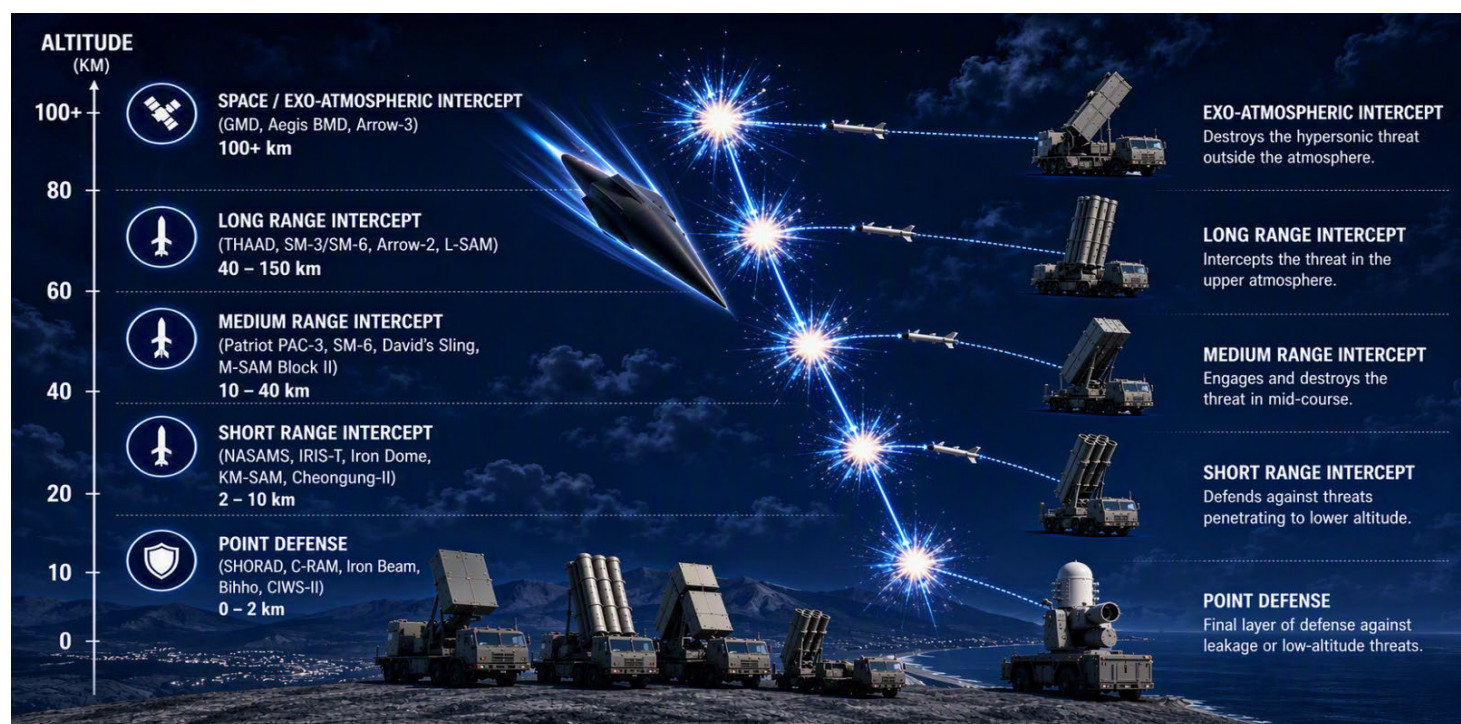
Unmanned and AI-enabled systems represent the next product cycle for Korean defense companies. Emerging products include loyal wingman drones, autonomous ground vehicles, AI-based command-and-control software, and military satellite solutions for surveillance and communications. These systems enable military customers to conduct reconnaissance, track targets, coordinate operations, and execute missions with fewer personnel and faster response times. As demand shifts toward autonomous and networked warfare, these next-generation platforms could become a meaningful source of future growth.

Key stocks: Hanwha Aerospace, LIG D&A

Hanwha Aerospace and LIG D&A are well positioned to benefit from rising demand for air defense and next-generation defense technologies. Hanwha/LIG is a key player in Korea's missile defense ecosystem, with products ranging from the currently exportable MSAM-II system to the LSAM, supporting Korea's expansion into higher-layer air defense capabilities. Hanwha Aerospace is expected to play a leading role in next-generation defense platforms, leveraging its growing presence in unmanned systems, AI-enabled military technologies, and integrated defense solutions.

Exhibit 31: Layered air defense against evolving aerial threats

Air defense capabilities are expanding across multiple interception layers, from point defense systems to long-range missile interceptors



Source: BofA Global Research

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Shipbuilding – KJ Hwang, Dongho Shin

Data center engine expansion in progress

We expect data center engines to fuel additional earnings growth to the shipbuilding operations led by gas carrier newbuilding. While current earnings recovery is primarily supported by higher-priced vessel backlogs, improving mix, easing cost pressures, and higher yard utilization, we see segment expansion to US data center engines (c.W3tn revenue / W1.2tn OP potentials p.a.) to enhance earnings reliability of shipbuilders (e.g. reduced impact from cyclical of shipping business). We expect engine installations to also create a recurring revenue stream from maintenance, spare parts, and long-term service agreements.

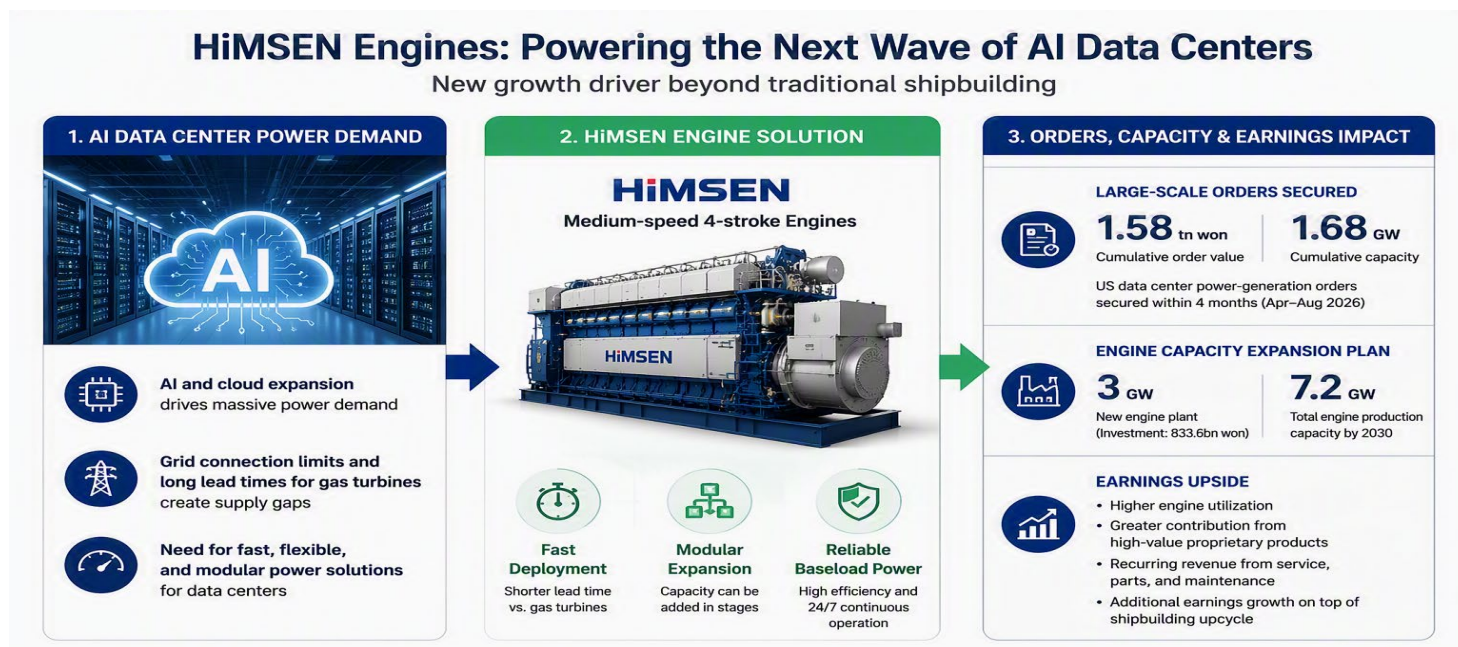
HD Hyundai Heavy Industries has already demonstrated the commercial potential of this market. In Apr'26, the company secured a W627bn contract to supply 684MW of HiMSEN engine-based power-generation equipment for US data centers, followed by a KRW956bn order covering 1,000MW in August. Combined, the company has secured c.W1.6tn of orders totaling 1,684MW within four months. These contracts validate data centers as a meaningful end market for the company's engine business beyond traditional marine applications.

Key stock: HD Hyundai Heavy Industries

HD Hyundai Heavy Industries is our preferred exposure to this theme, supported by its proprietary HiMSEN engine platform, large-scale US data center orders, and planned engine-capacity expansion (W834bn investment announced in Sep'26 to build a new 3GW HiMSEN engine plant, with total engine production capacity targeted to reach 7.2GW by 2030). While the company remains a major beneficiary of the shipbuilding-cycle recovery, data center engines provide a differentiated growth driver that could support further earnings revision potential over the medium term.

Exhibit 32: Data center engines: a new growth driver for shipbuilding

Large-scale US orders and capacity expansion position HiMSEN engines as an additional earnings driver beyond shipbuilding



Source: BofA Global Research

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Korean Transport – Nathan Gee, Amy Han

New transport products & services by 2030

Korean Air & new services out to 2030

Korean Air will work on product and service offerings to 2030 including: (1) **Capture more transit flow**: Korean Air will work to improve network connectivity by reducing redundant routes with Asiana and leveraging Asiana's extensive intra-Asia network to attract more transfer passengers as well as business travelers. (2) **Introducing Premium Economy**: Korean Air is planning to introduce its first true "Premium Economy" product installed on retrofitted B777-300ERs and expected to be incorporated into future B777-9 aircraft. (3) **Next generation cabin experience**: Korean Air will redesign its cabin experience to offer new prestige suites 2.0, upgraded inflight entertainment system, fleet-wide Wi-Fi rollout.

HMM & new shipping services to 2030

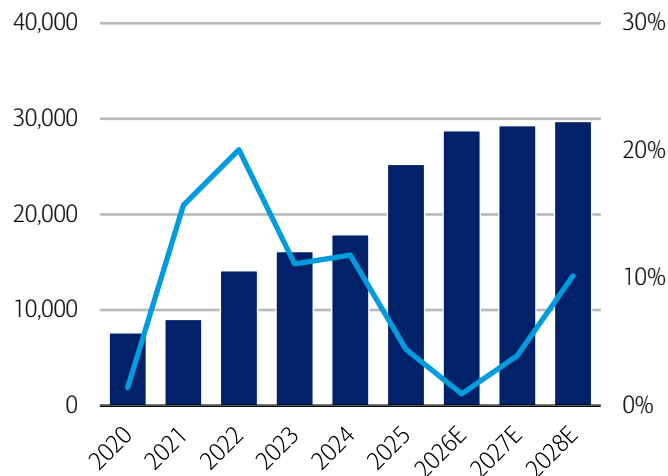
HMM is targeting to broaden its product and service offering by 2030 to create more stable earnings going forward. Changes include: (1) **Regional container focus**: HMM is working to diversify its service offering away from the key long haul container trades in the coming years. It is aiming to grow its footprint in regional trades like intra-Asia and Africa to 24% of mix by 2030 (from 10% right now) which we see helping to reduce the volatility of earnings ahead. (2) **More contract cover**: HMM to increase its mix of long term contracts for its non-container shipping segment growing from 55% of revenues now to 71% of revenues by 2030, (3) **Terminal investment**: Aimed at stable terminal earnings and improve container liner operating efficiency by reducing wait times.

Key stock: Korean Air

We have a Buy rating on Korean Air with Asiana merger synergies combined with strong passenger and cargo pricing power not priced in at 0.9x PBV

Exhibit 33: Korean Air's margin is expected to gradually recover with merger synergy and ease of jet fuel price

Korean Air revenue and operating margin from 2020-2028E

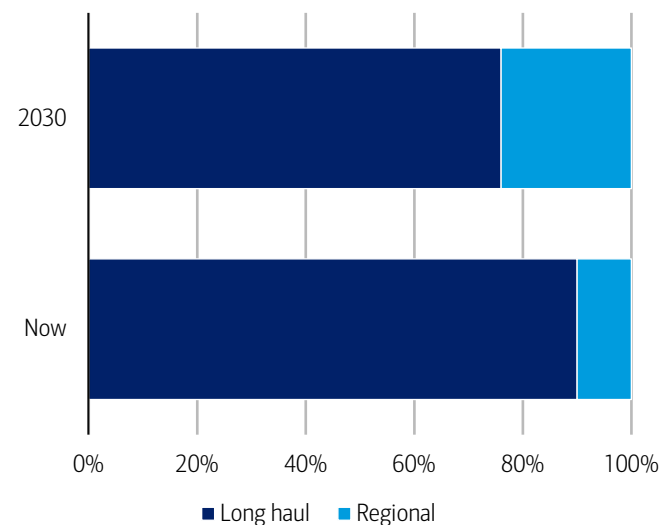


Source: Company reports, BofA Global Research estimates

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Exhibit 34: HMM to more than double regional container by 2030

HMM mix of container routes by type (%), now and FY30



Source: Company reports, BofA Global Research estimates

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Utilities – Taekyoung Ha

Gas turbines in shortage; hydrogen turbines in pipeline

We expect structural growth in gas turbine demand, driven by rising power consumption from US AI data centers and grid expansion. Gas turbines remain one of the most practical solutions given their relatively short lead times (3-4 years) and operational flexibility. Looking further ahead, the industry is developing hydrogen-compatible turbines that can utilize existing turbine platforms with alternative fuels, addressing concerns over carbon emissions and gas-price volatility. We expect hydrogen-capable gas turbines to become commercially viable before 2030, supporting long-term demand for next-generation gas turbine equipment.

SMRs gaining momentum alongside the nuclear revival

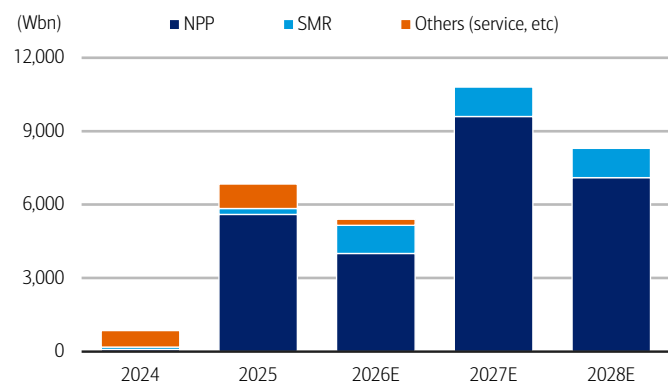
Large-scale nuclear projects are regaining momentum, supported by the US government's US\$80bn support package for Westinghouse-related projects and Korea's proposed investment of c.US\$120bn into US nuclear development. In parallel, Korea is reviewing additional power-generation capacity to support its 'three mega projects', raising the possibility of further expansion in the country's long-term nuclear buildout plans. While large-scale nuclear projects are moving forward, SMRs are also gaining traction as a complementary solution given their shorter construction timelines, lower upfront costs, and greater deployment flexibility. Announced SMR projects now exceed 25GW globally, including NuScale-TVA (7GW) and X-energy/AWS (6GW+). Several first-of-a-kind projects have already entered the long-lead equipment manufacturing phase, and we expect meaningful commercialization to begin around 2030, considering typical manufacturing and construction lead times of 3-4 years.

Key stock: Doosan Enerbility

Doosan Enerbility is our top pick in the sector, underpinned by its proprietary gas turbine IP as one of only five global OEMs, hydrogen-turbine commercialization targeted by 2029, and meaningful exposure to the global SMR supply chain through partnerships with TerraPower, X-energy, and NuScale. We expect a step-up in both earnings and margins from 2029 onward as large-scale nuclear projects enter peak earnings recognition, which typically occurs in years 4-5 of project execution.

Exhibit 35: We expect W7tn/yr new nuclear orders in 2026-28E

Doosan Enerbility new orders: nuclear

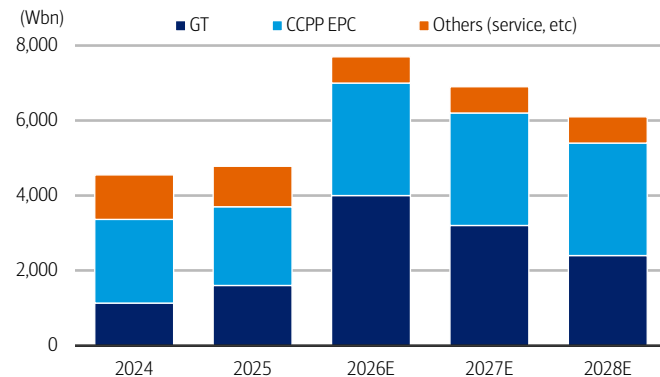


Source: Company data, BofA Global Research

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Exhibit 36: We expect W6tn/yr new GT/CCPP EPC orders in 2026-28E

Doosan Enerbility new orders: gas



Source: Company data, BofA Global Research

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Battery/materials – Taekyoung Ha

US ESS emerging as a structural growth market

The US ESS market is emerging as a key long-term growth opportunity for battery makers, driven by rising renewable-energy penetration and accelerating AIDC investments. As utilities increase renewable generation, ESS is becoming increasingly important for grid stability and power balancing. At the same time, growing demand for BTM solutions, including UPS and BBU systems for AI data centers, is creating an additional source of ESS demand. We expect the US ESS market to sustain c.20% annual growth over the medium term.

LFP localization creates share-gain potential for K-battery

While Korean battery makers have historically focused on high-nickel EV batteries, ESS increasingly favors LFP chemistry due to its lower cost, improved safety, and longer cycle life. Korean suppliers have therefore begun local LFP production and shipments, with LGES already supplying ESS-specific LFP batteries in N. America and SDI starting US LFP production from 2026. Korea's share of US battery imports has risen from mid-single digits last year to low-10% currently, and could expand further if US regulations continue to favor non-Chinese supply chains. Given the US ESS market's strong growth outlook, we see meaningful room for further market-share gains and order growth.

Solid-state batteries could enable the physical-AI era

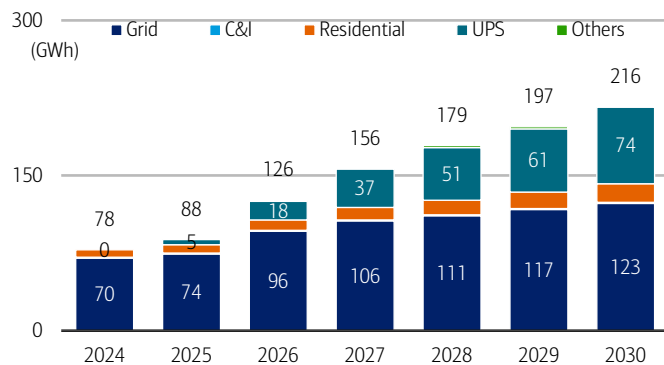
All-solid-state batteries could become a key enabling technology for humanoid robots, autonomous systems, and other physical-AI applications that require high energy density, safety, and long operating hours within limited space. Compared with conventional lithium-ion batteries, solid-state batteries offer superior energy density and safety characteristics, making them particularly suitable for next-generation robotics. Among Korean battery makers, SDI is targeting commercialization in 2H27-2028, while LGES is pursuing a longer-term development roadmap of around 2028-29.

Key stock: favor ESS scale and next-generation optionality

We prefer LGES and SDI, which are expanding US ESS capacity and securing orders tied to AI data centers and grid infrastructure. LGES offers greater leverage to localized LFP production and ESS scale as focusing on grid-ESS market (>80% of the US ESS market), while SDI provides exposure to BBU/UPS demand and earlier solid-state battery commercialization. Among upstream suppliers, we also favor L&F, given its leverage to Korean battery makers' expanding LFP ecosystem and long-term ESS growth.

Exhibit 37: Grid remains largest, UPS/BBU growing fastest

US ESS market growing at 20% cagr (UPS 70%/Grid 11% cagr)

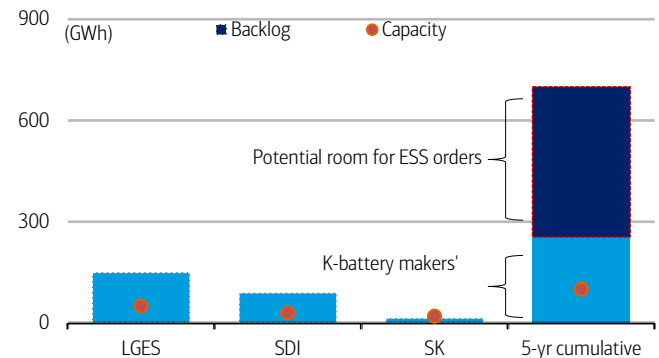


Source: Company data, BofA Global Research

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Exhibit 38: Further room for ESS orders for K-battery

Korea battery's US ESS backlog, capacity vs 5-yr cumulative US ESS TAM



Source: Company data, SNE Research, BofA Global Research

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Power Equipment – Sun Jung Lee

Korean companies well prepared for 800VDC architecture

Data centers are moving from alternating current (AC) architectures to direct current (DC) because rack power density (watts/server rack) is increasing. In a DC data center architecture, power sidecars and solid-state transformers (SST) are expected to be key components of the power infrastructure. We believe LS Electric (LSE) is well-positioned to benefit from DC conversion, given its capability to provide a comprehensive power distribution solution, while its peers are also developing solid-state transformers. During the 2Q earnings call, LSE management highlighted that the company is expanding its product portfolio for data centers, broadening its offering from AC equipment to DC solutions, with its 15-year track record in DC products. LSE aims to develop 800VDC products within the next two years, jointly conducting technical discussions with cloud service providers and telcos, and developing SST through an MoU with a power semiconductor maker. We expect power sidecars to begin contributing to revenue in 2028, followed by solid-state transformers in 2029.

Rising demand for 765kV transformers, higher ASP/margin

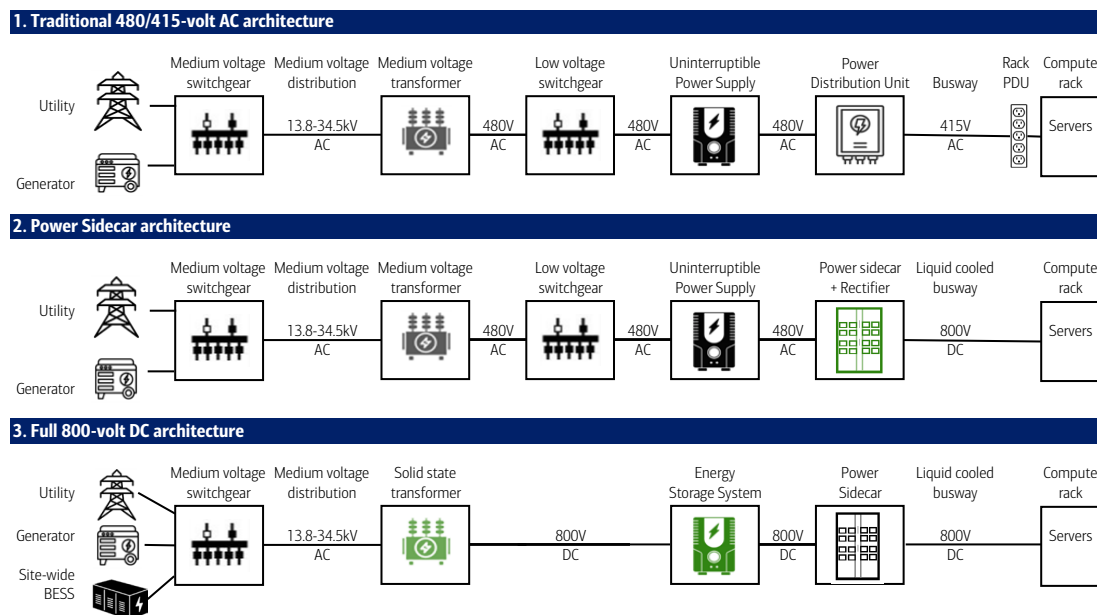
Growing demand for long-distance, high-capacity power transmission, partially driven by rising power requirements from AI data centers, is leading to strong demand for 765kV transformers. These transformers yield higher ASP (average selling price) and margin, given the limited number of players in the US market. We believe HDE is poised to benefit from this market dynamic, as its ongoing US/Korea factory expansion (additional W400bn investment) is geared toward manufacturing 765kV products. In our view, rising demand for 765kV HVT should lead to mix improvement, offering margin upside.

Key stock: LS Electric (Buy)

Among Korea power equipment companies, we prefer LS Electric. The strong order intake from data center operators in 1H26, combined with lead times of less than one year, suggests potential upside to earnings over the next 12 months. Also, its aggressive capacity expansion plan would likely drive the top-line growth. In our view, LSE deserves a premium multiple compared to overall industry peers, due to above-peer earnings growth (39% EBITDA CAGR over 2025-28E vs peers' average 24%).

Exhibit 39: Power sidecar and solid state transformer are key additions

How data center electrical architecture changes in evolution to direct current



Source: Nvidia Technical Blog, BofA Global Research

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Consumer – Ahnyung Cho, Zoe Chun

Global beauty expansion accelerating

We expect Korean consumer brands' global expansion to reach new continents beyond the US, which remains the largest single-country export destination for Korean beauty brands. In 2025, Korean beauty exports grew by 10% YoY; Asia -4%, North America +15%, Europe +44%, and other regions +58%. Year-to-date in 2026, Korean beauty exports have grown by 30% YoY, with exports to Asia increasing +9%, North America by +48%, Europe +69%, and other regions +43%. We believe Korean brands will continue to focus primarily on developed markets such as North America, EMEA, and Japan. Year-to-date, several noteworthy trends have emerged: (1) exports to Europe have been much stronger than initially expected, and (2) exports to other regions that were not necessarily priority markets for Korean brands have also shown encouraging momentum, particularly in Latin America and India.

Latin America emerging as a key region

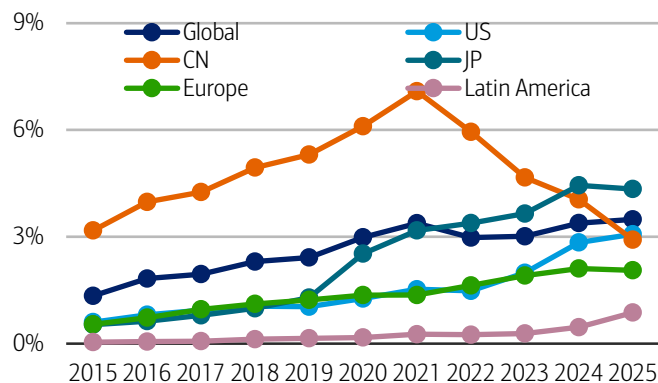
As companies expand across regions and product categories, we expect opportunities for Korean brands to further widen, and we believe Latin America could emerge as an important region by 2030. The Latin American beauty and personal care market stands at US\$79bn, ranking as the world's 4th-largest market behind Asia, Europe, and North America. Latin America accounts for 12% of the global beauty and personal care market. Within BPC, fragrance and hair care account for a larger share than in other markets. As of Aug-26, Latin America accounted for 3.1% of Korea's beauty exports, vs 1.8% in 2025 and 2.6% YTD. YTD exports grew 80% to Mexico and 83% to Brazil. This bodes well for (1) Amore management's comments regarding the strong performance of its hair care business in Brazil, and (2) brands' category expansion into personal care beyond skincare.

Beneficiaries- Amore, APR, Cosmax, Kolmar

Korean brands have been less focused on Asia. First-generation exporters Amorepacific and LG H&H have been substantially scaling back due to intensifying competition, trading-down consumption patterns, and the rapid shift toward influencer-driven distribution. In 2025, Korea's beauty exports grew 10%, which can be broken down into 21% growth ex-China and a 24% decline in China. Year-to-date in 2026, exports grew 30%, while ex-China exports grew 38% and China exports -2%, which turned to +1% in 2Q. We view Amorepacific, APR, and Cosmax/Korea Kolmar to be well positioned to lead the globalization of the Korean beauty industry given their strong executions in N America and EMEA, which could be replicated in the underpenetrated markets, and Amore's diversified brand/product portfolio.

Exhibit 40: K-beauty export penetration at 3.5%

Korea beauty export % to beauty market size



Source: Euromonitor, KITA

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Exhibit 41: Export to Latin America accelerating to 100% in 2Q

Korea beauty export to Latin America / growth



Source: KITA

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Healthcare – Zoe (Jung-ae) Chun

Peptides: from weight loss to multi-organ benefits

The global peptide therapeutics market is expected to grow at a 13.4% CAGR from US\$94bn in 2025 to c.US\$200bn by 2031, driven by expanding GLP-1 adoption and broader peptide applications. While GLP-1 therapies were initially developed for obesity and diabetes, growing clinical evidence supports benefits across cardiovascular, kidney, liver, and other obesity-related diseases. Their success has reinforced peptides as a broader therapeutic platform, with innovation extending into oncology, immunology, neurodegenerative disorders, and other age-related conditions. Meanwhile, next-generation peptide therapies are increasingly focused on improving durability, convenience, and muscle preservation, alongside efficacy.

Peptide manufacturing: capacity as the key bottleneck

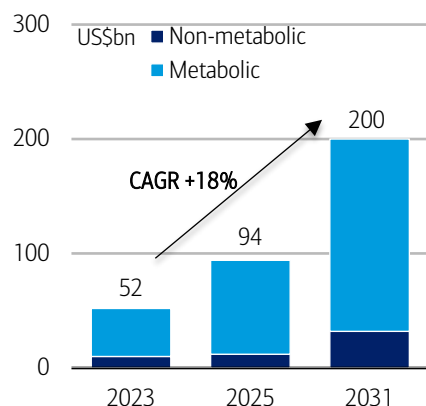
Peptide manufacturing requires complex solid-phase synthesis, purification, process development, and large-scale GMP production. Customer qualification and regulatory track record are equally important, particularly for late-stage and commercial programs. As demand for GLP-1 and next-generation peptide therapies accelerates, the industry's challenge is increasingly shifting from drug discovery to manufacturing capacity. This has raised the strategic value of established peptide CDMOs that already possess proven technologies, commercial infrastructure, and long-standing customer relationships.

Samsung Biologics: Expanding into Peptides CDMO market

We view the acquisition of PolyPeptide as Samsung Biologics' entry into peptide therapeutics and a key step in expanding beyond antibodies. The deal provides immediate peptide development and manufacturing capabilities that would take years to build organically. With 6 facilities across 5 countries and over 1,000 completed programs, PolyPeptide brings a global footprint and proven execution. Importantly, its involvement in more than one-third of global Phase III peptide projects gives Samsung Biologics access to an established customer base, commercial manufacturing capabilities, and a deep late-stage pipeline. Combined with ongoing capacity expansion and potential investments at Bio Campus 3, we see the acquisition as an early investment in one of the fastest-growing CDMO modalities.

Exhibit 42: Peptide market to grow at 18% CAGR through 2031

Global therapeutic peptide market size

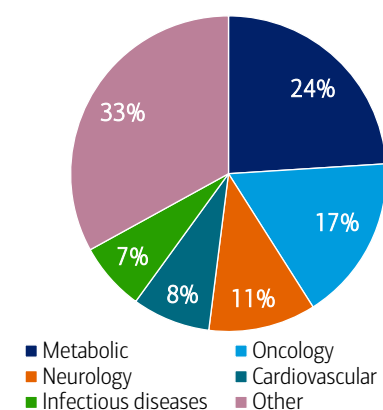


Source: Company reports, Evaluate Pharma

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Exhibit 43: Expanding indications broadening peptide adoption

Peptide drugs in clinical development, total 572

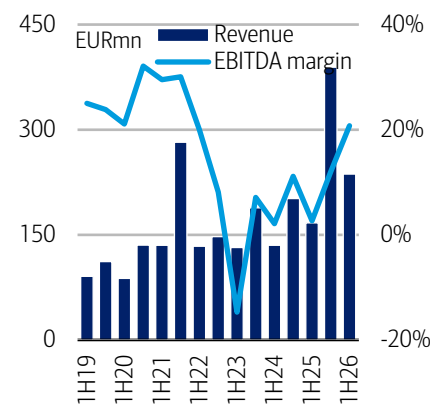


Source: Company reports, Evaluate Pharma

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Exhibit 44: Growth in metabolic projects driving profitability

PolyPeptide financials



Source: Company reports

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Internet – Ahnyung Cho, Zoe Chun

AI services effective in user engagement

NAVER's AI services, including AdVoost, Shopping Agent, AI Briefing, and AI Tab, have expanded business opportunities. AdVoost has significantly improved the advertising business by automating ad targeting, bidding, creative optimization, and placement. Shopping Agent and AI Tab are not only providing opportunities to extend time spent but also connecting users to NAVER's unique ecosystem across search, commerce, maps, reservations, content, and payments. The rollout of various AI services is expected to lead to multiple monetization opportunities.

Neocloud business- Expanding to up to 1GW capacity

NAVER disclosed that it would partner with Nvidia Corp. to expand its Cloud AI infrastructure business. The two companies will collaborate across AI models, cloud, and robotics. Sovereign AI is expected to be another important driver of AI industry growth. The company believes AI compute demand could expand meaningfully across Asia. The company plans to start with 100MW by end-2027 (55MW by mid-2027), followed by an additional 100MW by end-2028. It anticipates an initial US\$1bn equity investment for the first 200MW, which will be leased. By 2031, the company aims to increase accumulated capacity to 1GW. According to the company, 1GW would require US\$50-60bn of capex and would be funded through its own equity investment and strategic and financial partners. On a consolidated basis, this could add KRW20tn in revenue at a 20% operating margin.

Albeit with some delays, Korean policymakers constructive on digital assets

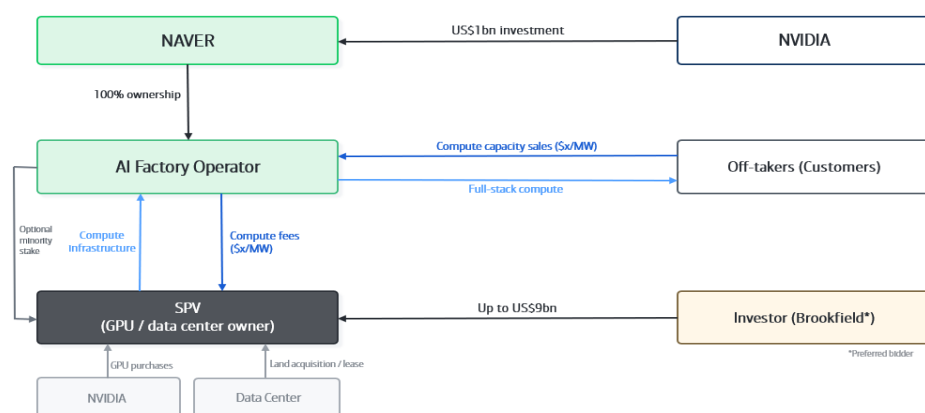
Expansion into fintech through the acquisition of Dunamu. The FSC is pushing a government-backed Digital Asset Basic Act covering stablecoin issuance and exchange licensing. Stablecoin institutionalization has emerged as a key topic. Opportunities are increasing with progress in the legislative framework, including digital assets, stablecoins, payments, digital asset wallets, blockchain, tokenization, cross-border financial services, and user data protection. Various related bills are currently under review at the National Assembly. We like NAVER and Coupang. Rather than new services, we expect Coupang's Taiwan operations to have turned around, with monetization to have kicked off by 2030.

Exhibit 45: The company plans to start with 100MW by end-2027 (55MW by mid-2027), followed by an additional 100MW by end-2028.

NAVER Neocloud business plan – phase 1

NAVER AI Factory Phase 1: Proposed 200MW Business Structure

- NAVER will own 100% of the AI Factory operator, supported by a direct US\$1bn investment from strategic partner NVIDIA.
- Investor Brookfield will invest up to US\$9bn in the SPV and become its largest shareholder.
- Asset-light structure: NAVER controls operations, while the SPV funds and owns core infrastructure.



Source: Company report

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Telecom – Sun Jung Lee

Data center becoming a new growth driver for telcos

We view the data center capacity expansion by telcos as a growth opportunity. While the market questions whether sufficient tenants can be secured, we believe KT's 1.2GW and LGU (LG Uplus)'s 400MW capacity targets are achievable, with customer discussions underway for a meaningful portion of the capacity. We expect data center investments to partly offset lower network infrastructure capex, resulting in a modest capex increase over the next three years (1%-3% CAGR by company). Meanwhile, in our view, the negative impact on shareholder returns should be limited, supported by cost controls (lower labor costs and tighter marketing cost spendings). In the medium-/long-term, higher operating margins by data center business (mid/high-teen%) vs. telco business (high-single%) should support margin expansion, in our view.

KT plans to expand AIDC (AI data center) capacity by 1GW, with a revenue target of W4.4tn by 2031E. Management guided c.W1-1.5tn of capex for the planned 1GW AIDC expansion, utilizing a mix of in-house and leased data centers, and targets double-digit OPM from AIDC/submarine cable business model. The expansion will be carried out on a demand-driven basis, with 80%+ of the targeted 1GW capacity supported by pipeline demand and secured sites. We estimate KT's AIDC business could generate additional OP of W530bn with 1GW capacity, equivalent to 25% of KT's 2026E OP.

LG Uplus plans to expand its AIDC capacity phase-by-phase from 165MW this year to 209MW by 2027E, and up to 400MW by 2030E, set at 270MW of in-house facilities and 130MW of leased assets. The company will add c.64MW after the second-phase expansion of the Paju AIDC project, following the first phase (up c.32MW by June'27). After the second-phase expansion, we estimate LGU will record c.W200bn of additional revenue, with demand secured, offering 3% upside to LGU's 2026E OP.

Key stock: LG Uplus (Buy)

Among Korea telco names, we prefer LG Uplus, based on (1) OP growth of 29% YoY in 2026E, after +3% YoY in 2025, via effective cost control and strategic portfolio streamlining; and (2) improved shareholder returns, up 7% YoY in 2026E. Of note, LGU announced 1H26 DPS of W270 in Jul'26, up 8% YoY, marking the first increase in interim DPS in four years. It also announced a W90bn buyback, up 13% YoY and yielding 1.0%.

Exhibit 46: KT has raised their data center capacity target in 2Q (1.2GW by 2030E), and LGU has offered more detailed long-term plan on it (400MW by 2030E)

Korea telcos – data center capacity expansion plan

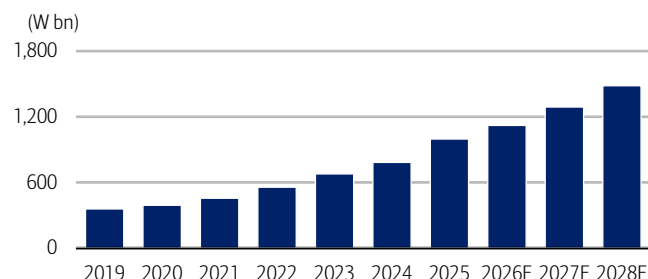
(MW)	Current (2026E)	2027E	2028E	2029E	2030E
KT	163	-	-	-	1,163
LG Uplus	165	209	-	-	400

Source: Company data, BofA Global Research

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Exhibit 47: KT plans to expand its AIDC capacity by 1GW by 2030E

KT – data center revenue forecasts

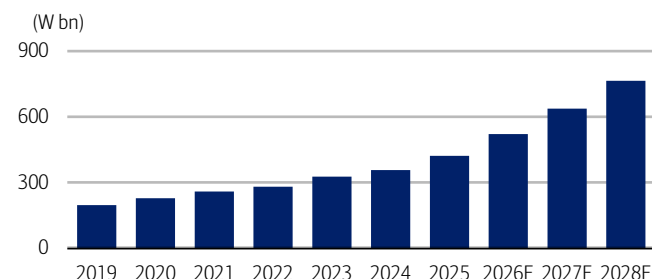


Source: Company data, BofA Global Research estimates

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Exhibit 48: LGU plans to expand its AIDC capacity to 400MW by 2030E

LG Uplus – data center revenue forecasts



Source: Company data, BofA Global Research estimates

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Entertainment – Sun Jung Lee

K-Pop fans to spend more on MD vs. other genres' fans

K-Pop companies are expanding their MD (merchandise) businesses, as one of their major business models, following album sales, streaming services, and concert sales. MD business recently became an important source of earnings, given the rising trends by younger generations for 'emotional purchase'. The companies are developing their MD strategies by (1) leveraging online platforms to enable year-round MD revenue generation independent of live events (i.e. Weverse Shop); (2) launch of artist-based IP characters; (3) the expansion of its product lineup; and (4) the increase in the offline pop-up stores.

Beyond concert MD, broadening line-up of MD products

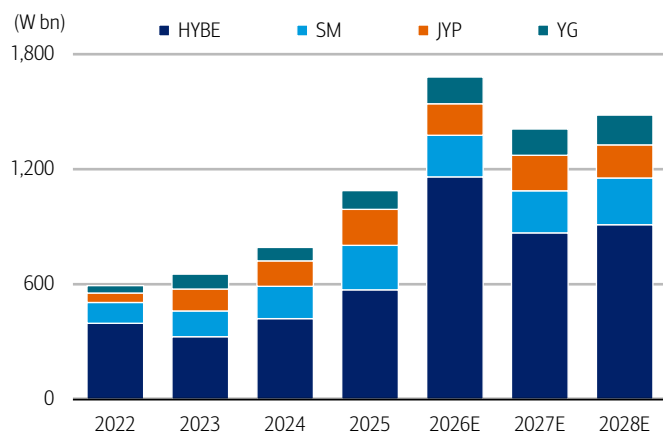
MD revenues generally move in tandem with concert revenues, exhibiting a strong correlation of 74%. When going to the concerts, K-Pop fandom also tend to spend on MD (merchandise) products. Fans who attend offline concerts are usually willing to pay to keep a tangible memory of their experience, and the representative examples of MD products include light sticks, photo cards, dolls, and clothing. According to Billboard, nearly 49% of K-Pop fans who responded to their survey have purchased a light stick, which provides fan-focused light shows synced to the music during the concerts, nearly the same as that of the 47% that attended a K-Pop concert in 2H24-1H25.

Beyond MD sales at concerts, entertainment companies are strategically expanding their revenue streams through regular MD sales and IP licensing. The key strategic initiatives include launching artist-based character IP and developing comprehensive MD business around these assets, which broaden the lineup of MD products. The companies started to introduce MD products utilizing artist-based characters from 2024 in earnest.

Key stock: HYBE (Buy)

Among K-Pop names, we prefer HYBE given its strong growth of rookies (Cortis, KATSEYE) as well as a larger exposure to North America. HYBE currently trades at 17x 12-month forward P/E, near a historical low (-2.3SD below its historical average). Given the stock has traded below 30x P/E only during (1) BTS's military enlistment; and (2) the legal dispute with NewJeans, we believe the stock is undervalued based on its solid 2H26/2027 outlook.

Exhibit 49: We expect Korea entertainment companies' MD revenue to surge in 2026, driven by BTS's world tour, followed by a temporary adjustment in 2027, but likely to resume structural growth thereafter
Korea Entertainment – MD revenue forecasts



Source: Company data, BofA Global Research estimates

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Exhibit 50: Korea entertainment's 12-month forward P/E currently stands near a historical low

Korea Entertainment – 12-month forward P/E



Source: Bloomberg, BofA Global Research

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Gaming – Jinhan Chun, Simon Woo

We expect Korean gaming industry to enter a more visible turnaround phase from 2027E, following a launch driven revenue rebound in 2026E driven by genre diversification, AI adoption,

New titles expect to reduce reliance on legacy titles

Korea gaming companies are expanding into genres beyond traditional strengths to diversify their revenue streams over the long term. At Krafton, Palworld Mobile (2027E) and Project Valor (2027E) are expected to broaden the revenue base beyond PUBG. Netmarble has not yet publicly shared its 2027 pipeline plan, but it indicated that titles originally scheduled for 2H26 would be released in 2027. For NC, a sequenced slate that includes Horzion Steel Frontiers (2027) and spin-off titles should support a gradual earnings recovery. Kakao Games' recovery profile is more back-end loaded, with Odin Q and Chrono Odyssey to be released in 2027E.

AI emerges as a long term growth engine

AI adoption is not yet meaningful for near-term earnings drivers, but it could support long-term growth by improving development efficiency, content generation, live-service operations, or user personalization. Krafton has expanded its strategic collaboration with NVIDIA including the adoption of NVIDIA ACE technology for PUBG Ally, a CPC (Co-player character) designed to communicate with PUBG users. Based on improvement in PUBG PC traffic and concurrent player trends, we see early indications that AI-enabled features could sustain user engagement.

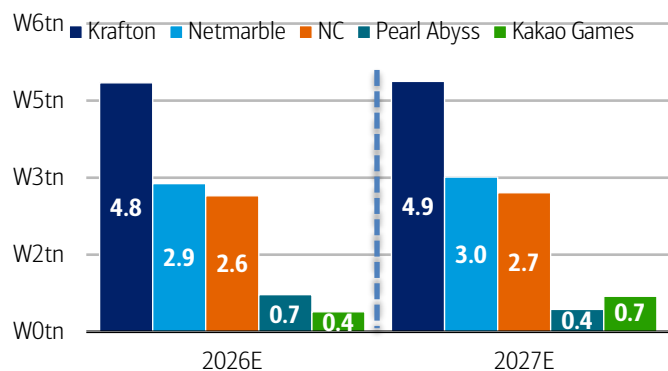
Meanwhile, NC AI's development and commercialization of VARCO based language and content generation models indicate an early effort to extend its AI capabilities beyond traditional game development. Although the near-term impact of AI on the gaming industry may remain limited, productivity gains and new content-creation opportunities could become a more prominent sector narrative as studios seek to manage development costs and accelerate production timelines.

Krafton and Netmarble remain our preferred names

Krafton remains our top pick, supported by a 11% 2025A-28E OP 3Y CAGR, PUBG franchise durability and additional pipeline. Netmarble is our other preferred name, as recurring revenue from social casino titles provides a stable earnings base, while its diversified pipeline supports further EPS recovery. By contrast, NC, Pearl Abyss and Kakao Games still require clear evidence of user retention and launch execution.

Exhibit 51: Krafton leads 2027E revenue scale with Netmarble offering a stable base

2026E vs 2027E Korea gaming revenue

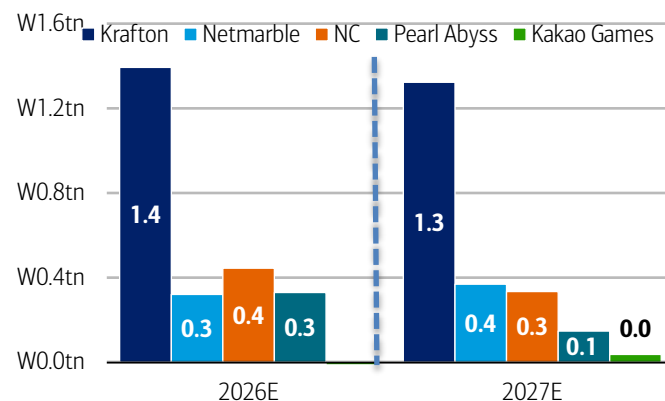


Source: BofA Global research estimates

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Exhibit 52: OP contribution remains strongest at Krafton

2026E vs 2027E Korea gaming OP



Source: BofA Global research estimates

BofA GLOBAL RESEARCH



Financials – Jisun Lee

We expect the Korean financial sector to increasingly differentiate itself through expanding product offerings, digital innovation and evolving business models across banks, insurers, brokers and fintech, alongside steadily improving capital discipline.

Evolving business models driving growth

Within banks, we see a more balanced earnings mix between interest and non-interest income taking shape, supported by growth in wealth management, AI-enabled advisory services and other fee-generating businesses. Asset quality management and shareholder returns should remain key priorities, while AI adoption gradually emerges as a structural cost lever, through branch rationalization and employee substitution. That said, elevated retirement-related expenses are likely to delay visible cost stabilization until the mid-to-long term. Insurers should continue diversifying their earnings base through overseas expansion, healthcare-linked insurance products and selective M&A. We also see scope for further enhancement in shareholder returns, given the sector's conservative approach to capital management.

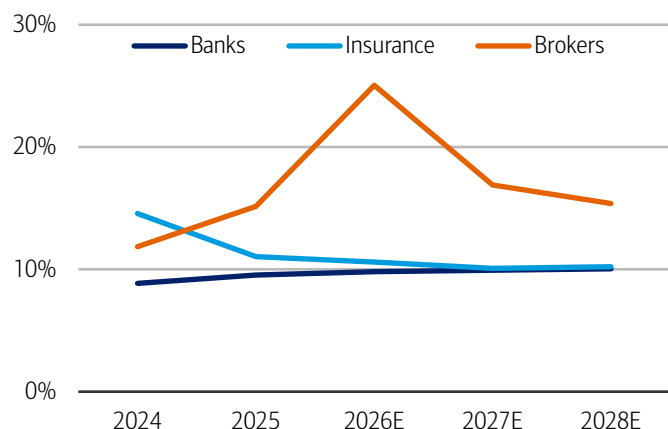
Brokers, in our view, stand out as the most structurally compelling long-term growth story within our coverage, as rising retail investor participation in the Korean market drives sustained expansion of the capital markets, supporting brokers' fee income and customer asset growth over time. Products such as ETFs, fractional investing, AI-driven robo-advisory services and direct overseas equity trading services should continue to broaden market access and support growth in customer assets and fee income. Fintech offers a catalyst-driven growth profile. While delays in stablecoin-related legislation have weighed on valuations, we continue to see long-term upside from broader asset tokenization as the regulatory framework matures.

Key stocks: KB, Shinhan, SFM, DBI, Kiwoom and Mirae

Within banks, we prefer names such as KB and Shinhan for their strong capital-markets-related businesses and non-interest income growth potential. Among insurers, we favor SFM and DBI, given their proactive inorganic growth strategies. Within brokers, we see Kiwoom and Mirae as key beneficiaries of rising retail participation in capital markets, supported by structural growth in products such as ETFs.

Exhibit 53: We expect banks and insurance to show stable earnings growth while brokers offering more compelling growth opportunities

Korean financial sector's RoE trajectory

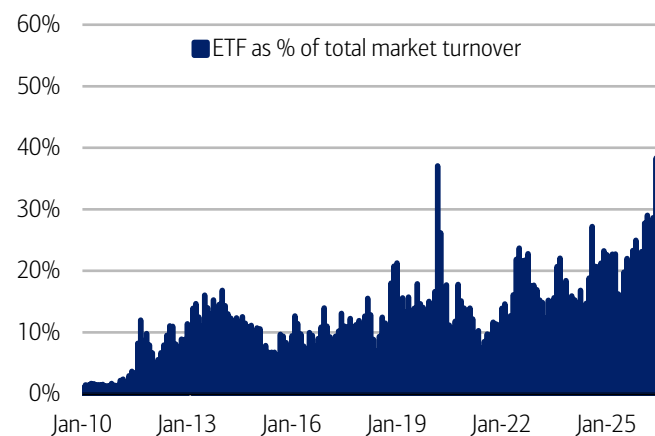


Source: BofA Global Research estimates

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Exhibit 54: We have consistently seen ETFs account for an increasing share of overall market turnover, which, in our view, reflects rising retail participation in the capital markets

ETF as share of total market share



Source: KRX, Nextrades, BofA Global Research

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Macro – Benson Wu, Ting Him Ho

Korean macro by 2030

Compared with previous cycles, we believe the semi super-cycle, fueled by accelerating global AI development, could have a more profound impact on the Korean economy this time. Before the global AI cycle, semiconductor upcycle usually only lasts for 12-18 months, with contained impact domestically. However, the spillover to domestic economy is likely to be evident this time, especially on fiscal policy (proactive spending funded by extra tax collection), private and public investment on semiconductors capacity, data centers and physical AI, new infrastructure investment alongside, as well as productivity growth with wider AI adoption.

Exports will still be a key driver of growth in medium term. We expect nominal total export growth to remain above 20% in the next two years, and see current account surplus to reach ~20% of GDP in 2026/27 (See our report, [Korea Viewpoint: Back to School: Living with a 20% of GDP “Chip Surplus”](#)). Semiconductor exports, which already account for 40% of total exports, should remain strong with sustained demand for memory chips. Several non-semi exports are also likely to be benefited by the new themes, including shipbuilding, defense, nuclear equipment, physical AI hardware. Exports of K-beauty and K-food will also likely to register robust growth in the medium term, although they haven't taken up significant share in total exports.

Going ahead, we believe below key macro themes are likely to sustain towards 2030:

- **AI development and its spillovers to the economy.** Although uncertainties may linger with respect to the commercialization as well as the long-term capex demand, we are on the bright side. We believe Korea leads the field across global peers, combining chips exposure, rapid AI diffusion, policy support and a credible productivity story (See our reports, [Global Economic Viewpoint: AI Matters #4: AI's next contenders](#) and [Korea Viewpoint: How AI matters for Korea macro?](#)). The increasing corporate and fiscal revenue could also help to improve Korea's future competitiveness if resources to be allocated wisely within the country.
- **Competitiveness in manufacturing sectors.** On the bright side, Korea manufacturing goods are gaining market share in the US and other key regions, including auto, EV batteries, shipbuilding and defenses. We see increasing market penetration towards the medium term. However, Korean manufacturer also face with increasing competition with China (see our report, [Korea-China trade: New structural factors to end the trade surplus era?](#)). With that regard, we expect traditional export sectors (e.g. machinery, petrochemical) to continue to face competition from Chinese manufacturers. For automobile exporters, we expect them to benefit from strong global demand for hybrids and EVs, further market share gain amid restrictions on Chinese EVs, but face headwinds from tariff uncertainty and long term shift toward localized production in overseas markets.
- **Demographic headwinds** and its potential drag on growth (see our [Korea Viewpoint: when super-ageing meet with no young generation](#)). Korea has the lowest fertility rate worldwide, and labor growth has slowed continuously. We see Korea's potential growth could fall to 1% handle from 2030, if without the productivity gains led by AI development. However, such trend is likely to benefit industries such as healthcare, eldercare services, pharmaceuticals, medical devices, retirement housing, as demand for senior-focused products and services continues to grow.

Valuation

Exhibit 55: BofA Korea analysts' TMT (tech, media/entertainment, telecom, internet) stocks

Valuation multiples and financials comparison

Sector	Company	BBG ticker	Mcap (US\$bn)	P/E		P/B		ROE		Sales growth		OP margin		EPS growth		Div. yield	
				26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Semis/ Memory	Samsung common	005930 KS	1,257.9	5.9x	4.5x	2.5x	1.7x	10.8%	52.4%	112%	23%	52.6%	56.4%	558%	30%	3.9%	4.2%
	Samsung preferred	005935 KS	114.1	4.5x	3.5x	0.2x	0.2x	10.8%	52.4%	112%	23%	52.6%	56.4%	558%	30%	5.1%	5.5%
	SK Hynix	000660 KS	938.6	5.0x	4.9x	3.2x	2.1x	44.2%	98.2%	247%	36%	76.0%	76.4%	493%	3%	2.2%	4.3%
	SK Hynix ADR	SKHY US	938.6	6.8x	6.7x	4.3x	2.8x	44.2%	98.2%	260%	36%	76.0%	76.4%	516%	3%	1.6%	3.2%
	Soulbrain	357780 KS	1.9	14.1x	12.5x	2.2x	1.9x	7.7%	16.3%	35%	12%	16.2%	18.2%	133%	13%	1.2%	1.4%
	Hanmi Semi	042700 KS	15.7	67.1x	37.5x	23.0x	15.3x	34.8%	39.4%	44%	68%	48.9%	53.7%	51%	79%	0.5%	0.9%
	Wonik IPS	240810 KS	4.3	24.3x	30.5x	4.9x	4.2x	9.0%	22.0%	31%	14%	16.4%	18.2%	185%	-20%	0.2%	0.3%
Hardware tech	Samsung SDI	006400 KS	28.0	67.4x	30.0x	1.8x	1.7x	-3.2%	2.9%	17%	27%	1.7%	7.9%	NM	125%	0.0%	0.0%
	SEMCO	009150 KS	75.4	66.7x	24.7x	9.8x	7.6x	7.7%	15.7%	28%	43%	14.8%	28.2%	127%	170%	0.4%	1.1%
	LG Electronics	066570 KS	23.8	15.6x	12.7x	1.3x	1.2x	4.3%	9.0%	10%	9%	5.2%	4.9%	142%	23%	1.3%	1.5%
	LG Innotek	011070 KS	8.9	11.7x	9.0x	1.8x	1.6x	6.1%	16.7%	18%	13%	5.5%	6.3%	205%	31%	1.1%	1.4%
Display/ OLED	LG Display	034220 KS	3.1	NM	27.0x	0.6x	0.6x	3.4%	-11.5%	-6%	-6%	2.4%	4.0%	NM	NM	0.0%	0.0%
	Duksan Neolux	213420 KS	0.6	8.8x	8.9x	1.4x	1.2x	12.7%	17.6%	35%	9%	20.9%	20.7%	62%	-1%	0.0%	0.0%
	LX Semicon	108320 KS	0.4	13.3x	17.4x	0.5x	0.5x	7.5%	3.9%	-5%	-1%	4.1%	3.0%	-47%	-23%	2.2%	1.7%
	Seoul Semi	046890 KS	0.4	89.2x	72.1x	0.9x	0.9x	-7.9%	1.0%	13%	4%	1.3%	2.0%	NM	24%	0.0%	0.0%
Internet	Coupang	CPNG US	25.7	NM	38.4x	5.7x	4.6x	4.9%	-19.0%	6%	15%	-2.8%	1.9%	NM	NM	0.0%	0.0%
	NAVER Corporation	035420 KS	23.1	17.8x	14.3x	1.0x	1.0x	7.4%	6.0%	15%	10%	15.7%	16.7%	-13%	24%	1.3%	1.5%
	Kakao Corp.	035720 KS	10.8	28.9x	16.9x	1.3x	1.2x	4.8%	4.4%	6%	5%	12.6%	13.7%	-1%	71%	0.2%	0.2%
IT services	Samsung SDS	018260 KS	12.3	23.2x	16.0x	1.6x	1.5x	7.9%	7.1%	6%	13%	5.7%	7.6%	-4%	45%	1.8%	2.0%
	LG CNS	064400 KS	4.9	13.9x	12.3x	2.1x	1.9x	17.3%	15.8%	7%	11%	9.2%	9.8%	10%	13%	3.0%	3.5%
Telecom	KT	030200 KS	9.7	7.6x	7.5x	0.7x	0.7x	10.4%	9.1%	-3%	0%	8.0%	8.1%	-2%	1%	4.5%	4.6%
	LG Uplus	032640 KS	4.5	8.5x	7.7x	0.7x	0.7x	6.2%	8.3%	-2%	0%	7.5%	7.9%	42%	10%	4.8%	5.1%
Gaming	Krafton	259960 KS	7.0	12.1x	8.1x	1.2x	1.1x	13.2%	10.2%	46%	1%	28.8%	27.1%	2%	49%	1.1%	1.1%
	Netmarble	251270 KS	2.1	7.5x	10.7x	0.5x	0.5x	3.1%	6.7%	2%	4%	11.1%	12.2%	66%	-30%	2.6%	1.4%
	PearlAbyss Corp	263750 KS	1.6	8.4x	21.1x	2.1x	2.0x	-0.9%	27.0%	98%	-40%	45.5%	33.7%	NM	-60%	1.6%	0.5%
	Kakao Games	293490 KS	0.6	NM	26.3x	0.8x	0.8x	-7.9%	-8.4%	-17%	78%	-12.5%	5.3%	NM	NM	0.0%	0.0%
	NC	036570 KS	3.2	10.1x	13.5x	1.0x	1.0x	19.2%	10.8%	76%	2%	16.8%	12.3%	11%	-25%	0.6%	1.7%
Entertainment	HYBE	352820 KS	5.3	45.3x	18.1x	2.0x	1.8x	-7.3%	4.7%	88%	-10%	6.0%	11.8%	NM	150%	0.4%	1.8%
	SM Entertainment	041510 KS	1.5	18.2x	14.8x	1.9x	1.7x	41.6%	10.7%	3%	5%	14.2%	15.2%	-68%	23%	1.6%	2.1%
	YP Entertainment	035900 KS	1.0	13.3x	13.1x	2.1x	1.8x	29.2%	16.1%	-8%	10%	17.9%	17.8%	-35%	1%	1.5%	1.5%
	YG Entertainment	122870 KS	0.6	18.8x	14.4x	1.5x	1.4x	7.4%	8.3%	18%	-11%	11.3%	12.2%	19%	30%	0.7%	0.7%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 56: BofA Korea analysts' auto, battery, power, defense, shipbuilding, steel, oil/chem/transportation stocks

Valuation multiples and financials comparison

Sector	Company	BBG ticker	Mcap (US\$bn)	P/E		P/B		ROE		Sales growth		OP margin		EPS growth		Div. yield	
				26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Auto & Auto parts	Hyundai Motor	005380 KS	54.1	10.9x	10.3x	0.8x	0.8x	8.5%	8.7%	3%	2%	5.2%	5.5%	-7%	6%	3.5%	3.7%
	Kia Corp	000270 KS	34.4	5.7x	5.4x	0.7x	0.6x	12.8%	12.5%	10%	6%	8.0%	8.1%	8%	7%	5.6%	5.6%
	Hyundai Mobis	012330 KS	25.4	7.1x	6.7x	0.7x	0.6x	9.4%	9.2%	5%	4%	5.5%	5.9%	31%	6%	1.7%	1.7%
	Hyundai Glovis	086280 KS	11.0	9.1x	8.5x	1.3x	1.2x	15.2%	14.6%	13%	3%	6.2%	6.6%	-4%	7%	3.2%	3.5%
	Hankook Tire	161390 KS	5.2	3.6x	3.3x	0.5x	0.5x	13.8%	13.3%	9%	6%	10.5%	10.3%	82%	7%	5.2%	6.1%
	Mando	204320 KS	1.7	14.1x	12.6x	0.9x	0.8x	7.5%	8.3%	2%	4%	4.1%	4.3%	61%	12%	1.5%	1.5%
	Hyundai Wia	011210 KS	1.1	13.2x	12.0x	0.4x	0.4x	3.4%	3.6%	6%	4%	2.2%	2.2%	12%	10%	2.2%	2.2%
EV Battery	LG Energy Solution	373220 KS	62.7	NM	52.8x	3.9x	3.6x	-3.0%	7.1%	27%	25%	3.3%	8.2%	NM	NM	0.0%	0.0%
	LG Chem	051910 KS	13.6	NM	16.4x	0.4x	0.4x	-0.3%	2.3%	20%	15%	2.4%	5.7%	NM	NM	1.1%	1.2%
	SK Innovation	096770 KS	16.8	6.8x	16.0x	0.5x	0.5x	8.2%	3.4%	27%	-13%	9.1%	4.1%	NM	-58%	2.2%	2.9%
	POSCO Future M	003670 KS	12.2	266.8x	299.0x	3.5x	3.0x	1.3%	1.1%	13%	31%	3.1%	3.3%	69%	-11%	0.1%	0.1%
	Ecopro BM	247540 KS	7.4	NM	110.8x	3.5x	3.4x	-0.1%	3.1%	1%	39%	3.3%	4.8%	NM	NM	0.0%	0.0%
	SKC	011790 KS	2.4	NM	NM	4.8x	5.3x	-31.6%	-8.8%	26%	15%	-2.6%	1.3%	NM	NM	0.0%	0.0%
	L&F	066970 KS	3.3	125.6x	51.5x	5.7x	5.1x	4.8%	10.4%	77%	33%	6.7%	4.5%	NM	144%	0.0%	0.0%
	SK IE Technology	361610 KS	0.9	NM	NM	0.5x	0.5x	-5.5%	-2.0%	-22%	48%	-58.9%	-11.0%	NM	NM	0.0%	0.0%
	People & Technology	137400 KS	0.5	6.9x	4.5x	1.0x	0.7x	14.7%	18.1%	5%	43%	6.4%	10.8%	6%	53%	0.3%	0.3%
	Solus	336370 KS	0.4	21.1x	NM	1.0x	1.0x	4.8%	-1.0%	-31%	41%	-20.5%	-1.5%	NM	NM	0.1%	0.1%
	WCP	393890 KS	0.2	NM	35.8x	0.4x	0.4x	-5.9%	1.0%	86%	80%	-23.0%	8.1%	NM	NM	0.0%	0.0%
Power Equipment & Utilities	Doosan Enerbility	034020 KS	39.2	137.9x	80.3x	6.4x	5.9x	4.8%	7.6%	4%	15%	6.1%	7.3%	359%	72%	0.0%	0.0%
	KEPCO	015760 KS	14.5	3.5x	3.9x	0.4x	0.3x	11.2%	9.3%	2%	2%	9.6%	8.4%	-34%	-9%	0.4%	0.4%
	HD Hyundai Electric	267260 KS	18.6	27.1x	20.0x	9.5x	7.1x	39.8%	40.6%	16%	25%	26.1%	28.1%	28%	35%	1.1%	1.5%
	LS Electric	010120 KS	21.8	56.0x	39.3x	12.3x	10.1x	23.7%	28.1%	27%	23%	11.3%	12.9%	86%	43%	0.6%	0.8%
Defense	Hanwha Aerospace	012450 KS	35.8	25.5x	19.6x	4.3x	3.3x	30.0%	29.8%	20%	13%	14.7%	16.5%	52%	30%	0.8%	0.8%
	LIG D&A	079550 KS	10.7	36.1x	23.7x	8.4x	6.5x	24.1%	29.3%	22%	14%	9.0%	11.5%	59%	53%	0.5%	0.5%
	KAI	047810 KS	8.9	65.2x	28.5x	6.2x	5.2x	9.8%	20.0%	35%	19%	4.8%	8.3%	1%	129%	0.5%	0.5%
Shipbuilding	HD Hyundai Heavy	329180 KS	33.8	15.7x	13.9x	4.0x	3.2x	28.1%	25.6%	42%	8%	16.3%	16.6%	109%	13%	1.4%	1.4%
	Samsung Heavy Ind	010140 KS	13.0	15.0x	12.2x	3.4x	2.7x	24.1%	23.5%	20%	17%	10.8%	11.4%	110%	24%	0.0%	0.0%
	Hankuk Carbon	017960 KS	0.8	8.5x	8.1x	1.6x	1.4x	19.5%	17.4%	6%	5%	17.1%	17.1%	21%	5%	1.5%	1.5%
	SK Bend	014620 KS	0.6	26.0x	24.6x	1.5x	1.4x	5.8%	5.8%	0%	0%	14.9%	15.9%	-5%	5%	0.6%	0.6%
Steel	POSCO	005490 KS	18.9	8.9x	7.5x	0.5x	0.4x	3.7%	4.3%	5%	7%	4.6%	5.2%	322%	19%	3.1%	3.1%
Oil & Chem	S-Oil	010950 KS	11.9	5.5x	7.5x	1.4x	1.2x	28.4%	17.2%	17%	-1%	11.8%	8.3%	1563%	-26%	3.7%	2.6%
	Hanwha Solutions	009830 KS	3.6	17.2x	14.9x	0.5x	0.5x	3.0%	3.3%	26%	3%	5.3%	7.3%	NM	16%	1.1%	1.1%
	GS Holdings	078930 KS	7.6	4.1x	9.7x	0.5x	0.4x	12.4%	4.6%	12%	3%	20.5%	15.4%	218%	-58%	3.8%	4.2%
	Lotte Chemical	011170 KS	2.0	5.3x	4.4x	0.2x	0.2x	3.4%	4.6%	3%	-5%	0.4%	0.7%	NM	19%	1.6%	1.6%
	Kumho Petrochemical	011780 KS	2.2	5.0x	5.8x	0.5x	0.4x	9.5%	7.9%	13%	3%	7.4%	6.3%	115%	-13%	3.4%	3.0%
Transportation	HMM Co Ltd	011200 KS	14.0	9.3x	NM	0.7x	0.7x	7.6%	-0.4%	23%	-14%	14.2%	-4.3%	12%	NM	3.2%	0.0%
	Korean Air	003490 KS	7.8	24.6x	17.8x	1.0x	0.9x	3.9%	5.5%	14%	2%	0.9%	3.9%	-45%	38%	2.6%	2.6%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH



Exhibit 57: BofA Korea analysts' Holdco, financial, consumer and healthcare stocks

Valuation multiples and financials comparison

Sector	Company	BBG ticker	Mcap (US\$bn)	P/E		P/B		ROE		Sales growth		OP margin		EPS growth		Div. yield	
				26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Holdco	Samsung C&T	028260 KS	41.9	21.6x	13.2x	0.5x	0.5x	3.4%	4.0%	15%	12%	8.4%	8.2%	10%	64%	1.4%	3.9%
	SK Square	402340 KS	98.3	2.6x	2.4x	1.7x	1.0x	96.4%	52.5%	-11%	-3%	4242.2%	4804.3%	485%	8%	0.6%	1.1%
	Doosan Corp	000150 KS	13.8	30.7x	27.5x	8.6x	6.8x	35.6%	26.8%	11%	11%	7.6%	8.6%	962%	12%	0.4%	0.5%
Bank	KB Financial Group	105560 KS	45.8	9.1x	8.5x	1.0x	1.0x	11.3%	11.1%	8%	3%	-	-	23%	7%	2.9%	3.0%
	Shinhan FG	055550 KS	38.9	8.6x	7.9x	0.8x	0.8x	10.0%	10.1%	11%	5%	-	-	27%	9%	2.6%	3.1%
	Hana FG	086790 KS	27.4	8.4x	7.5x	0.8x	0.7x	9.4%	9.6%	9%	5%	-	-	12%	12%	3.4%	3.9%
	Woori FG	316140 KS	19.3	7.9x	6.8x	0.7x	0.6x	8.7%	9.3%	5%	6%	-	-	7%	17%	4.2%	4.7%
	Ind Bank of Korea	024110 KS	11.8	5.7x	5.5x	0.4x	0.4x	7.5%	7.4%	1%	4%	-	-	4%	3%	5.5%	6.0%
	BNK Financial Group	138930 KS	3.6	6.4x	6.0x	0.4x	0.4x	7.1%	7.5%	3%	4%	-	-	-4%	8%	5.1%	5.8%
	JB FG	175330 KS	4.5	7.9x	7.1x	1.0x	0.9x	12.4%	12.8%	6%	7%	-	-	9%	11%	3.9%	4.4%
	iM FG	139130 KS	2.1	6.0x	5.7x	0.5x	0.4x	7.6%	7.4%	7%	4%	-	-	13%	5%	4.1%	4.3%
Insurance	Samsung Life	032830 KS	41.4	17.0x	10.4x	0.3x	0.3x	2.7%	3.1%	5%	22%	-	-	30%	63%	2.5%	4.2%
	Samsung F&M	000810 KS	21.6	12.1x	11.3x	0.8x	0.8x	7.9%	6.6%	6%	5%	-	-	15%	7%	3.6%	4.1%
	Hyundai M&F	001450 KS	3.0	3.7x	3.3x	0.6x	0.5x	18.0%	16.3%	9%	6%	-	-	84%	11%	0.0%	8.0%
Fintech	KakaoBank	323410 KS	7.2	14.4x	12.0x	1.5x	1.4x	10.2%	12.0%	19%	23%	-	-	43%	20%	3.5%	4.3%
	Kakaopay	377300 KS	4.0	44.6x	34.4x	2.7x	2.5x	6.2%	7.5%	24%	8%	-	-	169%	30%	0.0%	0.0%
Brokers	Mirae	006800 KS	13.0	5.8x	9.8x	1.3x	1.2x	25.4%	12.7%	106%	-29%	-	-	143%	-41%	1.1%	1.4%
	Kiwoom Securities	039490 KS	5.1	3.6x	4.0x	0.9x	0.8x	27.7%	21.4%	58%	-3%	-	-	76%	-10%	7.3%	8.1%
Beauty	Amorepacific	090430 KS	6.2	24.0x	21.1x	1.5x	1.4x	6.3%	6.8%	11%	8%	10.4%	10.8%	58%	14%	1.1%	1.2%
	LG H&H	051900 KS	3.3	18.5x	15.5x	0.8x	0.7x	4.3%	4.9%	4%	7%	5.6%	6.0%	NM	20%	0.7%	0.8%
	APR	278470 KS	9.7	24.5x	18.3x	0.0x	0.0x	82.9%	64.0%	98%	32%	24.0%	24.2%	87%	34%	1.0%	1.4%
	Cosmax	192820 KS	2.3	21.4x	18.6x	0.0x	0.0x	24.3%	23.4%	24%	14%	8.5%	8.3%	21%	15%	1.2%	1.4%
	Kolmar Korea	161890 KS	2.6	18.9x	16.2x	3.3x	2.8x	18.9%	18.7%	18%	10%	11.0%	11.2%	50%	17%	0.7%	0.8%
Retail	Hotel Shilla	008770 KS	1.2	13.7x	10.5x	1.2x	1.1x	9.5%	11.2%	0%	3%	4.7%	5.2%	NM	30%	0.0%	0.0%
	Lotte Shopping	023530 KS	2.5	9.8x	8.9x	0.2x	0.2x	2.2%	2.4%	4%	2%	5.6%	5.8%	564%	10%	3.5%	3.7%
	BGF Retail	282330 KS	1.8	11.5x	10.1x	1.7x	1.5x	15.3%	15.7%	5%	4%	3.1%	3.3%	8%	14%	3.0%	3.2%
	Shinsegae	004170 KS	2.5	7.9x	7.4x	0.7x	0.7x	8.6%	8.3%	8%	5%	6.2%	6.3%	2793%	6%	1.5%	1.6%
	E-Mart	139480 KS	1.5	10.3x	7.6x	0.2x	0.2x	1.7%	2.2%	0%	4%	2.0%	2.1%	38%	36%	3.7%	4.1%
	GS Retail	007070 KS	1.5	9.8x	9.3x	0.6x	0.6x	6.1%	6.1%	4%	2%	2.7%	2.6%	373%	6%	2.5%	2.5%
F&B	KT&G	033780 KS	13.0	13.6x	11.9x	1.8x	1.7x	13.7%	14.5%	7%	8%	23.1%	23.5%	21%	14%	4.2%	4.9%
Healthcare	Samsung Biologics	207940 KS	47.6	34.9x	30.1x	7.0x	5.7x	22.3%	20.8%	21%	15%	43.9%	44.0%	71%	16%	0.0%	0.0%

*Note: SK Square's operating profit margin is presented as NA because it is largely driven by equity method gains from SK Hynix and is therefore not directly comparable with the OP of other companies

Operating profit for Korean financial companies is shown as NA because their income statement structure differs from that of non-financial companies, limiting direct comparability

Source: BofA Global Research estimates

Exhibit 58: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
AMRPF	090430 KS	Amorepacific	W 144600	C-1-7
XLTF	278470 KS	APR	W 353000	C-1-7
XCRSF	192820 KS	Cosmax	W 280500	C-1-7
CPNG	CPNG US	Coupang	US\$ 14.4	C-1-9
DGBUF	005830 KS	DB Insurance	W 187000	C-1-7
DOSAF	000150 KS	Doosan Corp	W 1387000	C-1-7
DOHIF	034020 KS	Doosan Enerbility	W 83800	C-1-9
SSASF	012450 KS	Hanwha Aerospace	W 1055000	C-1-7
XHZXF	329180 KS	HD Hyundai Heavy	W 440500	C-1-7
HYMMF	011200 KS	HMM Co Ltd	W 20350	C-2-8
XBGOF	352820 KS	HYBE	W 169900	C-1-7
HYMLF	005380 KS	Hyundai Motor	W 362000	C-2-7
KB	KB US	KB Financial Group	US\$ 128	B-1-7
XKBGF	105560 KS	KB Financial Group	W 176700	B-1-7
KIMTF	000270 KS	Kia Corp	W 120700	C-1-7
KWOOF	039490 KS	Kiwoom Securities	W 267000	C-1-7
XKKPF	161890 KS	Kolmar Korea	W 150000	C-1-7
XSKLF	003490 KS	Korean Air	W 29050	B-1-7
XKINF	259960 KS	Krafton	W 203000	C-1-9
XLNTF	066970 KS	L&F	W 111000	C-1-9
XLGLF	064400 KS	LG CNS	W 69700	C-1-7
LGFAF	066570 KS	LG Electronics	W 200000	C-1-7
XQIEF	373220 KS	LG Energy Solution	W 367000	C-1-9
XLGQF	011070 KS	LG Innotek	W 515000	C-1-7
LTCLF	032640 KS	LG Uplus	W 14650	B-1-7
XLQUF	079550 KS	LIG D&A	W 666000	C-1-7
LGXSF	010120 KS	LS Electric	W 199400	C-1-7
XMADF	204320 KS	Mando	W 48400	C-1-7
DGHJF	006800 KS	Mirae	W 31750	C-1-7
NHNCF	035420 KS	NAVER Corporation	W 201500	C-1-7
XLGHF	251270 KS	Netmarble	W 34150	B-1-7
PKX	PKX US	POSCO	US\$ 59.19	C-1-7
PKXFF	005490 KS	POSCO	W 326500	C-1-7
XBIIF	207940 KS	Samsung Biologics	W 1409000	C-1-9
XCDTF	028260 KS	Samsung C&T	W 353500	C-1-7
SSNLF	005930 KS	Samsung common	W 253500	C-1-7
SSNHZ	SMSN LI	Samsung Elec -G	US\$ 4716	B-1-7
SZVZF	000810 KS	Samsung F&M	W 661000	C-1-7
SSMMF	032830 KS	Samsung Life	W 283500	C-1-7
SSNNF	005935 KS	Samsung preferred	W 194600	C-1-7
SSDIF	006400 KS	Samsung SDI	W 544000	C-1-9
XWPBF	018260 KS	Samsung SDS	W 217500	C-1-7
SMSGF	009150 KS	SEMCO	W 1381000	C-1-7
SFLGF	055550 KS	Shinhan FG	W 112100	B-1-7
SHG	SHG US	Shinhan FG	US\$ 81.55	B-1-7
HXSCF	000660 KS	SK Hynix	W 1759000	C-1-7
SKHY	SKHY US	SK Hynix ADR	US\$ 174.87	C-1-7
SKSQF	402340 KS	SK Square	W 1020000	C-1-7
SOOCF	010950 KS	S-Oil	W 144100	C-1-7

Source: BofA Global Research

BofA GLOBAL RESEARCH



Glossary

AC: Alternating current

ADAS: Advanced driving assistant system

AI: Artificial Intelligence

AIDC: AI Data Center

ASP: Average selling price

AWS: Amazon Web Service

CAGR: Cumulative annual growth rate

CCL: Copper clad laminate

CPC: Co-player character

DBI: DB insurance

DC: Data center

DC: Direct current

DM: Developed market

DPU: Data processing unit

DRAM: Dynamic Random Access Memory

EPS: Earnings per share

EREV: Extended range electric vehicle

ESS: Energy storage system

ETF: Exchange traded fund

EV: Electric vehicle

FC-BGA: Flip chip ball grid array

GDP: Gross Domestic Product

GW: Giga Watt

HBM: High Bandwidth Memory

HiMSen: Hi-touch Marine & Stationary Engine

HW: Hardware

KB: KB Financial Group

Kiwoom: Kiwoom Securities

kV: Kilo volt

KV: Key value

LFP: Lithium iron phosphate

LGES: LG Energy Solution

LSE: LS Electric

LTA: Long-term agreement



LPDDR5: Low power double data rate 5

M&A: Merger and acquisitions

MD: Merchandise

Mirae: Mirae Asset Securities

MLAD: Multi-layered air defense

MLCC: Multilayer ceramic capacitors

MW: Mega Watt

OEM: Original Equipment Manufacturer

OP: Operating profit

OTA: Over the air

PAC-3: Patriot Advanced Capability-3

PUBG: Playerunknown's battleground

SDV: Software defined vehicle

SEMCO: Samsung Elector-mechanics

SFM: Samsung Fire & Marine

Shinhan: Shinhan Financial group

SMR: Small Modular Reactor

SOCAMM: Small outline compression attached memory module

SSD: Solid state drive

SST: Solid state transforms

SUV: Sport Utility Vehicle

TCB: Trusted computing base

TVA: Tennessee Valley Authority

VDC: Voltage Direct Current

Price objective basis & risk

AmorePacific Corp (AMRPF)

Our PO of W180,000 is based on 26x 3Q26-2Q27E EPS, 1STD below 10 year historical average, where historical forward multiple has been trading within the range of 18x to 40x. We believe 10-year average is fair as it takes into account operational trough (2013/17/20) and peak (2015/16) periods, we expect valuation to improve from the low-end of this historical range on sequential improvement in operation and profitability.

Upside risk to our PO is 1) successful rebranding of Sulwhasoo, 2) faster expansion in US/Japan/EMEA, and 3) synergies between COSRX and Amorepacific in R&D and distribution.

Downside risk to our PO is 1) disappointing expansion of Sulwhasoo in China, 2) delayed recovery of cosmetics demand in China and the travel retail channel and 3) slower-than-expected recovery of COSRX.



APR (XLTFD)

Our W510,000 PO is based on PEG of 1.0 in-line with industry peer average, implying 31x est 12M fwd P/E on mid-27E EPS (3Q26-2Q27E). 31x is 1STD above the sector peers' long-term (2010-2025) average of 26.5x. Given APR's outperformance in top line growth and its accelerating share expansion in the global beauty market, we view an above historical average multiple can be justified.

Risks: 1) reliance on a single brand, 2) exposure to B2B channel, and 3) excessive competition among indie brands.

Cosmax (XCRSF)

Our W290,000 is PO set at 22x mid-27E EPS, at the historical average since 2017 (the range of 6-35x), in-line with the 10% (historical premium) premium to its peer. We think 22x multiple is justifiable in order to factor in 1) its healthy revenue growth momentum in FY26E despite the elevated base led by intact indie-beauty industry momentum, 2) an upgraded margin profile, and 3) the improving operation of overseas business.

Downside risks are: 1) Low earnings visibility, 2) Rising competition of cosmetics ODM/OEM industry, 3) Weak end-demand for key clients' beauty products, 4) Product safety / regulatory compliance risks.

Coupang (CPNG)

Our PO of US\$24 is based on 20x 4Q26-3Q27E EV/EBITDA, which is a historical average based on its normalized top-line growth.

Downside risks are 1) potential regulation in Korea and 2) further delays in Product Commerce operation recovery.

DB Insurance (DGBUF)

We derive our price objective of W210,000 by using the Gordon Growth Model to generate a target P/B multiple of 0.68x, assuming a rolling 24M average RoE of 12.3%, 10% cost of equity, and 2% terminal growth. We then apply a discount of 40% to the sustainable RoE assumption, with the discount derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the underwriting cycle and interest rates.

Upside risks to our price objective are (1) positive market reaction to upcoming introduction of IFRS17, (2) bigger-than-expected premium hikes on medical indemnity insurance, and (3) higher interest rates leading to higher-than-expected investment yields. Downside risks are (1) negative market reaction to upcoming introduction of IFRS17, (2) smaller-than-expected premium hikes on medical indemnity insurance, and (3) lower interest rates leading to lower investment yields.

Doosan Corp (DOSAF)

Our PO of W1,800,000 is derived from SOTP valuation, which implies a fair market cap of W32tn = W20tn for core businesses (based on 20x 2027-28E P/E, which is in line with the average of CCL peers) + W12tn in listed equity investments (Doosan Enerbility, Doosan Robotics, and Oricom) + net debt (breakeven) + other investments (W0.25tn, mostly non-listed affiliates). Our W1,800,000 PO implies 8x 2027-28E P/B, which appears much higher than the 2023-25 average of 4x, as well as a relatively high P/E (31x based on 2027-28E EPS) versus other Korea Holdco companies (5-10x). Key reason behind our relatively higher fair multiples compared to its historical average and its peers should be Doosan's rapidly growing CCL business thanks to its dominant market share position within NVIDIA.

Upside risks: (1) further market share gains in high-end CCL for major US hyperscalers, (2) a more favorable CCL pricing environment driven by sustained demand growth and tight industry supply, (3) incremental demand opportunities from emerging technologies such as co-packaged optics (CPO) and other networking equipment, and (4) faster-than-expected capacity ramp-up.

Downside risks: (1) a slowdown in AI infrastructure spending or cuts to US hyperscaler capex, which could weaken demand for high-end CCL used in AI servers and networking equipment, (2) intensifying competition and pricing pressure in the advanced CCL market, and (3) potential delays in Doosan's CCL capacity expansion.

Doosan Enerbility (DOHIF)

Our SOTP-based PO of W140,000 is derived from 1) 2.0x 28E EV/order backlog and 2) 50% discount to equity holdings in listed subsidiaries. We believe 2.0x EV/order backlog (peak multiple in the 2005-10 upcycle) justifiable, given the firm's in nuclear/gas order upcycle with 1) longer order momentum, 2) superior order mix, 3) subdued order competition, vs the prior upcycle which was mainly driven by thermal power plant projects. Risks: 1) order delay, 2) policy reversal (anti-nuclear), 3) AI over investments.

Hanwha Aerospace (SSASF)

Our W2,160,000 PO for Hanwha Aerospace is based on P/E valuation. We use P/E valuation methodology, given stronger multi-year earnings growth visibility arising from land system and shipbuilding (100% OP-consolidated) in the US, Western Europe and Middle East (2035E sales/OP of W70tn/W10tn). We assign a 25.6x target 27E P/E to 2027E EPS (on par with global peer average given its rising export growth potentials to DM).

Downside risks to our PO are: (1) potential delay or cancellation of orders from Europe, (2) defense budget cutbacks impacted by inflation and fiscal crisis, and (3) delays to production localization in Poland.

HD Hyundai Heavy Industries (XHZXF)

PO of W800,000 is based on 25.2x target 27E P/E multiple (on par with peers with naval fleet shipbuilding capacity), and 2027 EPS of W31,657 reflecting the stretched delivery lead time of industry when realizing revenue/profit. We use PER valuation as we believe Korean shipbuilders have entered a multi-year earnings upcycle after accumulating >3 years of profitable backlog.

Downside risks are:

(1) Longer-than-expected rate hike cycle driven by inflation, (2) China-Taiwan conflicts surrounding Taiwan strait may eventually lower mega-container capex from ship owners, and (3) accelerated US reshoring to result in lower seaborne trade of gas carriers, tankers and containers in general.

HL Mando (XMADF)

Our PO of W64,000 is based on a SOTP valuation. We use SOTP valuation in order to capture Mando's NAV upside potential from its robotics and SDV business. For auto parts, we take 5.0x 26E target P/E, in line with conventional ICE carmakers' peer average due to similar growth prospects. For robotics/SDV unit, we take 1.9x 26E P/SR to its 26E sales i.e.a discount applied to peers' 13x P/SR given lower pricing power and scale efficiency.

Downside risks to our PO are: (1) Longer-than-expected duration of chip shortages could continue to cap volume growth and weigh on higher fixed costs, (2) Cost inflation to add margin pressure to auto parts, (3) Worse-than-expected utilization rate cutbacks in China could offset the Korean carmakers' revenue gains in EM.

Upside risks to our PO are: (1) An earlier-than-expected ramp of new automotive chip production capacities could resolve the production delay problems and raise volume growth visibility, (2) New factory expansions from Hyundai Group or outside partners to offer revenue upside to factory automation business.



HMM Co Ltd (HYMMF)

Our price objective is KRW22,000. Our target PBV of 0.75x book is set based on HMM's historical average range during the Red Sea closure and is broadly in-line with valuation metrics used across our Asia Pacific shipping coverage.

Upside risks: 1) stronger-than-expected global economic environment, boosting world trade and containerized cargo volumes, 2) better-than-expected capacity discipline by rival liners leading to an increase in freight rates, 3) a sharp decline in the cost of bunker fuel, 4) possible consolidation or major downsizing of rivals, 5) better-than-expected cost reductions from new ships.

Downside risks: 1) disappointing demand due to near-sourcing and sluggish economic growth or protectionism, 2) lack of capacity discipline causes ships to remain in service despite industry losses, 3) a sharp rise in bunker costs, 4) further vessel orders by the industry, prolonging and deepening the period of overcapacity.

HYBE (XBGOF)

Our PO of W350,000 for HYBE is based on 35x 12-month forward P/E multiple, which is at the historical average of its 12-month forward P/E band, reflecting (1) moderate earnings outlook post-BTS comeback, (2) a sustainable growth on rookie artists, and (3) growth of Weverse.

Upside risks: (1) better-than-expected performance of new music releases, (2) higher-than-expected performance of new artists including two girl groups to debut in 2026E.

Downside risks: (1) artist-related reputational risks, (2) higher-than-expected labor costs, (3) larger-than-expected costs from the game business, and (4) lower-than-expected number of concert attendees.

Hyundai Motor (HYMLF)

Our PO of W480,000 is based on 13.1x target P/E (e.g. on par with smart car peer average in US/China) applied to FY26E EPS of W36,376. We use PER valuation as we believe Hyundai Motor have entered a multi-year earnings upcycle on top of new business diversification into robotics and SDV.

Upside risks: (1) earlier-than-expected ramp of new auto chip production capacities to resolve the production delay issues and raise volume growth visibility, (2) weaker fx rate >W1,400 to boost export margins to the US/EU, (3) and US ATP/segment/capacity expansion in 2024 are upside risks.

Downside risks: (1) long duration of chip shortage lifts fixed costs, (2) inflation pressure/lower consumer confidence on buyers' car purchase activities, (3) utilization rate cutbacks in EM plants to offset sales gains from DM, (4) fierce price competition in battery electric vehicle segment, (5) regulatory risk.

KB Financial Group (XKBGF / KB)

We derive our price objective of W233,900 (\$167.1) using a target P/B multiple of 1.30x derived by the Gordon Growth Model. Our assumptions are 11.7% sustainable RoE (from 24-month average return on equity-RoE), 10% cost of equity, and 2% terminal growth. We then apply a 6% premium to the sustainable RoE assumption, derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the economic cycle.

Upside risks to our price objective are (1) higher interest rates leading to further expansion of NIM, (2) stronger revenues from non-bank affiliates and (3) regulators becoming supportive of bigger shareholder returns.

Downside risks are (1) economic slowdown leading to higher credit cost (2) lower revenues from non-bank affiliates due to increased market risk, (3) economic slowdown resulting in lower rates and lower NIM, and (4) stronger demands for social contribution due to pressure on economic entities from high inflation.

Kia Corp (KIMTF)

Our W180,000 PO for Kia is based on sum-of-the-parts (SOTP) valuation. We use sum-of-the-parts (SOTP) valuation to capture Kia's upside potentials from its robotics and SDV business, aside from legacy business (ICE) that entail valuation discounts. For ICE, we apply 8.7x 26E P/E (i.e., 10% discount assigned to HMC's implied target P/E of 9.7x). For robotics business, we apply a 4.5x 26E P/SR, on par with recent series C valuation level of Figure AI. We also reflect autonomous SDV value of W4.2tn, based on assumption of W40m ASP, 10k units and 10x 26E PSR (a 20% discount applied to Tesla's current PSR).

Downside risks are: (1) Longer-than-expected duration of chip shortages, (2) Inflation pressure and lower consumer confidence, (3) utilization rate cutbacks in EM plants (e.g., Brazil and Russia), (4) fierce price competition in xEV segment that could abruptly increase the incentive spending from OEMs to secure market share, (5) potential rise of consolidated raw material costs >40% YoY (6) regulatory risk.

Upside risks are: (1) an earlier-than-expected ramp of new automotive chip production capacities, (2) weaker KRWUSD rate >W1,300, which could boost export margins to the US and Europe, including those for EVs, (3) an earlier-than-expected easing of logistics and supply-chain bottlenecks could result in subdued transportation costs. (7) A protracted raw material price escalations prompted by unrest in Middle East regions

Kiwoom Securities (KWOOF)

We derive our price objective of W441,000, using a target P/B multiple of 1.26x derived by the Gordon Growth Model. Our assumptions include 20.7% sustainable RoE (from 24M average RoE), 10% cost of equity, and 2% terminal growth. We then apply a 42% discount to the sustainable RoE assumption, derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the economic cycle.

Upside risks to our PO are: (1) faster-than-expected turnover increase, (2) stronger policy momentum supporting capital market inflows, (3) accelerated retail participation, and (4) favorable macro environment driving liquidity into equities.

Downside risks to our PO are: (1) delayed or weaker-than-expected turnover increase, (2) policy turning unsupportive, (3) a less favorable interest rate environment, (4) capital flows diverting away from equities, and (5) regulations and external shocks.

Kolmar Korea (XKKPF)

We derive our PO of W160,000 for Kolmar Korea using SoTP valuation based on the following assumptions: (1) Our 20x multiple to mid-27E EPS for the cosmetics ODM business is at the historical average since '17 (the range of 10-30x) or at a 20% discount to Cosmax's target multiple, reflecting lower visibility on improvement in the US/China. We think the average multiple is justified given the sustainable double-digit growth for the parent business (Korea ODM) driven by resilient demand for Korean indie beauty brands supported by its solid dominance in the suncare/skincare category amid industry consolidation, and improving level of profitability, and (2) a 50% holding company discount to Kolmar's holding in HK innoN's market cap (listed subsidiary, 195940 KS).

Downside risks are (1) weak sales performance of key brands, (2) regulatory, product safety risks, and (3) heightened competition in the US and China.



Korean Air (XSKLF)

Our price objective of KRW36,000 is set at 1.15x PBV. We set our target PBV multiple at 1.15x PBV based on estimated 15% 2028E ROE and the historical relationship between PBV and ROE. We cross-check valuation with PE and EV/EBITDA methods. Our KRW36,000 price objective implies PE of 5.17x for 2028E, which is attractive given future earnings growth and below KAL's post-COVID PE average. Our implied EV/EBITDA of 4.8x for 2028E is below its historical average of 6.6x.

Upside/downside risks to our PO are: 1) Lower/higher-than-expected fuel costs, 2) Appreciation/depreciation of Korean won, 3) Stronger/weaker macroeconomic, 4) weaker-than-expected travel/business demand, 5) Change in cross-border ecommerce policies

Krafton (XKINF)

Our PO of W340,000 is based on a 14x P/E multiple applied to 2027E EPS. We believe a 14x multiple is appropriate because Krafton's recurring PUBG earnings and strong margin profile justify it trading in line with its historical average multiple, while execution risk around new IP limits further premium expansion.

Upside risks: 1) Korea-value up program for enhanced shareholder-friendly policies, 2) AI-led content expansion, 3) technological update featuring Unreal engine 5, well-made mode, and UGC contents.

Downside risks: 1) intensifying competition in the Chinese shooter game, 2) shift in consumer preference to short-form content, 3) slower than expected recovery in Korean game market

L&F (XLNTF)

Our W170,000 PO is based on 25x 2027E EV/EBITDA, a historical mid-cycle average multiple for the company's earnings growth phase. We applied EV/EBITDA multiple to factor in: (1) large cash outflow, and (2) rising financial leverage due to outsized capacity additions for years to come. We are consistent in using EV/EBITDA valuation methodology across our Korea EV battery supply chain coverage.

Upside risks to our PO are (1) expansion of high-Ni sales to diverse applications (EV, FSD, robotics), (2) potential M/S gain in the US ESS market.

Downside risks are (1) EV demand slowdown, (2) intensifying competition in the US ESS domain.

LG CNS (XLGLF)

Our PO of W150,000 is based on 21x 2027-28E P/E. Local and global peers already trade c.10x 2025-26 P/E to low-30x and LG CNS should trade in the middle of this range. Korea's AI boom could push the fair P/E close to the global sector average (low-20x 2027-28 P/E). Some local IT service providers have already posted over 30x P/E.

Upside risks: stronger IT service orders particularly for cloud/AI, market-share gains, more effective cost cuts, and innovative software development.

Downside risks: price competition with local peers, and unexpected cost increases (cloud sourcing, labor, R&D, etc.).

LG Electronics (LGEAF)

Our PO of W350,000 is derived from 21x 2027-28E P/E. This is higher than the long-term historical average of mid- to high-teens but far below the previous highs (30-50x) and Korea's robotics and Taiwan's data center cooling solutions sectors.

Upside risks: 1) unexpected removal of US tariffs, 2) more active shareholder returns, 3)

growth opportunities with data center chiller, TV webOS, electric vehicle motor, subscription-based home appliance sales and robotics, and 4) US market share gains at the expense of China OEMs.

Downside risks: 1) bigger impact of US tariffs (e.g., global recession), 2) China competitors' more innovative consumer electronics and robotics, and 3) cost increase (logistics, metals, labor, utilities).

LG Energy Solution (XQIEF)

Our 12-month price objective of W460,000 is based on SOTP applying 20x 2026-27E EV/EBITDA, a mark-to-market multiple in line with global peers, as well as W5tn fair value of potential AMPC (Advanced Manufacturing Production Credit). We believe that such multiple is justifiable, given LGES' potential m/s gain in the high-growth US ESS market, as well as in the European EV market leveraging its diversified chemistry (high-Ni, HVM, LFP), amid favorable regulatory environments (e.g. OBBBA/IAA - incentivizing non-PFE/local production in the US/EU).

Downside risks to our PO: (1) slower-than-expected US ESS ramp-up (margin woes, m/s competition), (2) prolonged US EV demand weakness.

Upside risks to our PO: (1) US EV demand recovery, (2) long-term valuation multiple re-rating, especially on robotics/autonomous-driving market expansion.

LG Innotek (XLGQF)

Our PO W1,500,000 is derived from 23x 2027-28E P/E. This is close to the previous upcycle period (2017-19 year-average share price based), but still 30-40% lower than that of SEMCO and Taiwan/Japan peers (substrate firms). LGI has well diversified its business objective from just iPhone camera module to more advanced semiconductor substrate areas, including FC BGA. This could lead to a re-rating (higher fair P/E vs the historical average of low-teens).

Upside risk is mostly related to long-term semis substrate orders, and downside risk is also substrate business related (e.g., poor execution of FC BGA capacity expansion, unexpected order cancellation from US Big Tech).

LG Uplus (LTCLF)

We derive our W18,500 PO based on a five-year DCF model using a 6.7% weighted average cost of capital (WACC), 0% perpetuity growth rate to terminal year FCF, given market saturation in telecommunication business. At our PO, the stock would trade at the average of mid-cycle historical EV/EBITDA valuation, which seems undemanding to us.

Upside risks: (1) lower regulatory oversight, (2) subscriber market-share expansion, and (3) faster growth of data center businesses.

Downside risks: (1) slower ARPU growth, (2) higher marketing expenses, (3) unexpected capex, and (4) lower synergies with global contents providers at its internet protocol television (IPTV) business.

LIG Defense & Aerospace (XLQUF)

Our PO of W1,360,000 is based on 36x target 27E EV/EBITDA multiple applied to 2027 EBITDA (W844bn). We use EV/EBITDA metrics to value LIG D&A at the current margin expansion cycle and 2) 2027 EBITDA to capture the rising export sales contribution (>40%). Our 36x target EV/EBITDA is set at a 50% premium relative to average of global defense primes and SMID caps, premised on 1) differentiated air defense technologies of LIG D&A, and 2) stronger EBITDA growth visibility arising from higher orderbook forward cover (5.5 years vs. global major OEMs' average of 2.7 years).



Downside risks are: 1) any postponements of defense budget execution in Gulf region, 2) slower-than-expected domestic capacity expansion and 3) potential disruption of raw material sourcing and commodity price escalations.

Upside risks are: 1) reinforced government spending in space, AI and unmanned military platforms, 2) segment expansion to North America defense business, and 3) earnings turnaround of robotics business prompted by wider new export sales to regional allies.

LS Electric (LGXSF)

Our PO of W310,000 is based on 40x '27E EV/EBITDA reflecting the average of fair multiple of power equipment companies with a high AI exposure, and is also a premium multiple compared to the overall industry average (regardless of AI exposure) which we think is warranted given above-peer earnings growth (39% EBITDA CAGR over 2025-28E vs. the average of 24%).

Downside risks are (1) slowdown in infrastructure spending on potential recession, (2) delays in new order from data center operators, (3) potential competition with low-cost producers.

Upside risks are (1) stronger-than-expected power equipment demand on AI/datacenter boom, (2) faster-than-expected rising US replacement demand, and (3) reshoring initiative with further policy tailwind to the US export.

Mirae Asset Securities (DGHJF)

We derive our price objective of W55,000 using a target P/B multiple of 2.07x derived by the Gordon Growth Model. Our assumptions include 12.4% sustainable RoE (from 24M average RoE), 10% cost of equity, and 2% terminal growth. We then apply a 50% premium to the sustainable RoE assumption, derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the economic cycle.

Upside risks to our PO are: (1) faster-than-expected turnover increase, (2) stronger policy momentum supporting capital market inflows, (3) accelerated retail participation, and (4) favorable macro environment driving liquidity into equities.

Downside risks to our PO are: (1) delayed or weaker-than-expected turnover increase, (2) policy turning unsupportive, (3) a less favorable interest rate environment, (4) capital flows diverting away from equities, and (5) regulations and external shocks.

NAVER Corporation (NHNCF)

Our SOTP-derived price objective (PO) of W300,000 implies 22x P/E to 27E EPS, which is below the 2022-2024 average of 12-month forward P/E multiple of 25x.

Our PO is based on applying the multiple on earnings/revenue with the respective rationale by business:

For search & commerce, we apply 15.9x P/NOPLAT (net operating profit less adjusted taxes) on revenue, which is 20% to its 10-year historical average discount to global average.

For fintech, we apply 0.07x on P/TPV (total payment volume), in line with its domestic peer.

For the cloud business, we apply 3x on revenue, which is the low-end valuation of global peers (2-8x), given that NAVER Cloud is loss-making and is at an early stage.

For content, we apply a 50% discount to Webtoon's (subsidiary of Naver) latest market value.

For LY (subsidiary of Naver), we apply a 50% discount to BofA's valuation.

We view the 50% discounts as justified given Korean holding companies' discount to net asset value range of 30-50% and investors' option to directly own the listed companies.

Downside risks: 1) potential regulations on leading platforms, 2) increasing competition in the domestic e-commerce market, 3) softer momentum in total time spent at NAVER, and 4) disappointing execution in the new businesses.

Netmarble (XLGHF)

Our PO of W57,000 is based on 19x 2027E P/E, which represents 1SD below Netmarble's adjusted historical average. Our adjusted valuation is based on 2017-2026 YTD, excluding unusually elevated P/E readings in 2023-24. We assign a target multiple of 1SD below the average, while the stock is currently trading at near 2SD below the average. We expect rerating from this trough level, as we estimate Netmarble's revenue growth to recover from the depressed levels of 2022-24A (-0.2% CAGR). However, we apply a discount to historical average multiple, as the expected growth still remains below the robust levels seen in 2015-22A (+14% CAGR).

Upside risks to our PO are: (1) successful new game launches on a sustainable basis, (2) better than expected performance of the new titles, and (3) easing regulatory risks, including approval of China game licenses.

Downside risks to our PO are: (1) longer-than-expected delay in key anticipated titles, (2) rising competition in the domestic game market, (3) any government regulation on the game industry.

POSCO Holdings (PKXFF / PKX)

Our PO of W420,000 (ADR US\$68.04) is derived using a SOTP valuation. For steel business, we apply a 12.2x target FY26E P/E reflecting current global average of key steel mills (FY26E basis). For new lithium business, we assign a 11x target 26E EV/EBITDA, which is the current average of global lithium producers (FY26E). We apply 45% discount to its affiliate holdings (average holding company discount rate in Korea). Last, we deduct net debt of cW11.3tn.

Downside risks are

(1) US tariff imposition that could erode export margins, (2) potential scrapping of US IRA implementation that can deteriorate lithium earnings, and (3) backlog deflation of Korean carmakers/shipbuilders which could result in steel ASP downside

Upside risks are

(1) Enhanced trade barriers and accelerated US reshoring to result in higher shortages of rare metals/materials for green cars (e.g. electric-vehicles), (2) stronger-than-expected capex and fixed asset investment growth in emerging markets to support end demand for long steels.

Samsung Biologics (XBIIF)

Our W1.85mn PO is based on 26x FY27E EV/EBITDA. Our target 26x is supported by regression analysis, which suggests the company has historically traded at c.26x EV/EBITDA, when market is pricing in mid-teens 3-yr revenue CAGR. This implies a 50% premium to peers, below Samsung Biologics' historical premium of over 100%, which we view as justified given its mid-teens growth outlook and superior profitability (52% EBITDA margin in 2026-28E vs. peers' early-teens growth and mid-to-high 20% margin).

Downside risks are 1) delayed customer order timing, 2) slower utilization ramp-up, 3) greater-than-expected margin dilution from new facilities, 4) prolonged geopolitical uncertainty, and 5) KRW appreciation.

Samsung C&T (XCDTF)

Our PO of W580,000 is derived from SOTP valuation. This reveals a fair market cap of W95tn - W56tn for 5% SEC stake (59% of PO) + W25tn for other investments (Bio, Epis,



Insurance, SDS, and E&A) + W13tn for core businesses (6x 2027E EV/EBITDA - close to Korea's construction/trading/leisure/food peers). We use 57% discount ratio (vs our FVs of SEC, Bio, Epis, Life, SDS and E&A). This is 5ppt higher than the 5-year historical average, to be conservative (e.g., June-July 2026 SEC share-price correction) despite 2x+ higher EPS/DPS for 2027-28 vs 2021-26. Our PO presents only 0.8x 2027-28E P/B - 20% lower than long-term historical average (near-1.0x). However, we acknowledge high implied P/E of 20x, based on 2027-28E EPS (vs 10x or less for pure memory stocks), despite SEC's high dividend payments (to C&T). Of course, we note that many hardware tech and industry names trade at 20-30x or higher across the regions.

Upside risk to our PO is SEC's more aggressive dividend payments or memory/bio stock rally (C&T's NAV increase).

Downside risk is related to SEC (payout ratio cut) or global memory (unexpected downturn).

Samsung Electro-Mechanics (SMSGF)

Our PO of W2,400,000 is derived from 35x 2027-28E P/E. This is still lower than SEMCO's 2017 peak (over 40x above the 2018 cloud boom) and Japan peers show more than 40x 2027-28 P/E to be conservative. Taiwan peers still trade at 20-30x, but SEMCO's business model and market-dominant position are highly similar to Japan peers, in our view. We acknowledge that SEMCO's long-term historical average P/E was high-teens (vs peak low-20x and trough low-teens). However, its 2027-28 earnings will likely be 5-8x larger vs the previous upturn periods (2017-18, 2021-22, 2025).

Up/downside risk is mostly related to US Big Tech's AI capex spend increase/cut vs market expectations.

Samsung Electronics (SSNLF / SSNHZ)

Our PO of W500,000 is based on 9x 2027-28E P/E. This fair P/E of 9x is derived from upper band of previous peak cycle (7-10x, long-term historical average: low-teens) and bottom of proven foundry peer's 2009-2025 P/E band (10-20x), to be conservative (SEC's low EPS growth after 2026 upturn). Our GDR PO of US\$9,300 is automatically calculated at an FX rate of near-W1.3k/USD.

Downside risks are mostly related to US Big Tech' unexpected capex cut, excess supply of global memory following 2026-27 capex increase, potential competition with China chipmakers, and market-share loss to Asia/US peers.

Upside risks could come from stronger AI chip demand (from US Big Tech), market-share gains at the expense of Asia/US and even China competitors, more LTAs (long-term agreements) with OEMs/hyperscalers even for 2030, and significantly increasing shareholder returns using record-high FCF generation.

Samsung Electronics Preferred (SSNNF)

Samsung Electronics (SEC) has two types of shares, common and preferred. Our PO of W340,000 for the preferred shares is based on a 32% fair discount to the common shares, given no voting rights. However, the dividend amount is almost the same for both types. This offers a higher yield for the preferred shares vs the common. The discount ratio (preferred share price vs common) was c.10% in 2021-22, but it rose to near-20% in 2024-25 (undervalued vs the common) and 30%+ in 1H26. Having SEC's preferred shares also suggests a direct exposure to memory super-cycle given SEC's global leadership in DRAM, HBM and NAND.

Common share PO of W500,000 is based on 9x 2027-28E P/E. This fair P/E of 9x is derived from upper band of previous peak cycle (7-10x, long-term historical average: low-teens) and bottom of proven foundry peer's 2009-2025 P/E band (10-20x), to be conservative (SEC's low EPS growth after 2026 upturn).

Downside risks are mostly related to US Big Tech' unexpected capex cut, excess supply of global memory following 2026-27 capex increase, potential competition with China chipmakers, and market-share loss to Asia/US peers.

Upside risks could come from stronger AI chip demand (from US Big Tech), market-share gains at the expense of Asia/US and even China competitors, more LTAs (long-term agreements) with OEMs/hyperscalers even for 2030, and significantly increasing shareholder returns using record-high FCF generation.

Samsung Fire & Marine (SZVZF)

We derive our price objective of W760,000 using a target P/B multiple of 0.85x derived by the Gordon Growth Model. Our assumptions include 6.7% sustainable RoE (from 24-month average return on equity-RoE), 10% cost of equity, and 2% terminal growth. We then apply a 32% premium to the sustainable RoE assumption, derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the underwriting cycle and interest rates.

Upside risks to our price objective are (1) positive market reaction to upcoming introduction of IFRS17, (2) bigger-than-expected premium hikes on medical indemnity insurance, and (3) higher interest rates leading to higher-than-expected investment yields. Downside risks are (1) negative market reaction to upcoming introduction of IFRS17, (2) smaller-than-expected premium hikes on medical indemnity insurance, (3) lower interest rates leading to lower investment yields, and (4) unclear dividend policy.

Samsung Life Insurance (SSMMF)

We derive our price objective of W445,000 using SOTP valuation. For the core insurance business, we apply P/B-based valuation derived by the Gordon Growth Model, consistent with our previous methodology. Our assumptions include 10.6% adjusted RoE (from 24-month average return on adjusted equity-adjusted RoE), 10% cost of equity, and 2% terminal growth. We then apply a 19% discount to the sustainable RoE assumption, derived by regression analysis of historical RoE discount, assuming the same cost of equity and terminal growth, combined with our view of the underwriting cycle and interest rates.

For the SEC stake, we use 9x 2027-28E P/E, derived from upper band of previous peak cycle (7-10x, long-term historical average: low-teens) and bottom of proven foundry peer's 2009-2025 P/E band (10-20x), to be conservative (SEC's low EPS growth after 2026 upturn), and apply a 75% discount to reflect holding company discount, limited monetization flexibility, and uncertainties around the timing and execution of any potential disposal.

Upside risks to our price objective are (1) positive market reaction to upcoming introduction of IFRS17, (2) higher interest rates leading to higher-than-expected investment yields, and (3) Samsung group restructuring leading to the potential sale of group affiliate shares. Downside risks are (1) sharp correction in SEC's share price, (2) lower interest rates leading to lower investment yields, and (3) unclear dividend policy.

Samsung SDI (SSDIF)

We derive our PO of W820,000 using 16x 2027-28E EV/EBITDA (close to its long-term average). Since SDI's ESS capacity expansion in the US will be more meaningful from late-2026 and through 2027-28, we use longer-term valuations instead of just 2026-centric. In fact, SDI's historical upcycle of EV/EBITDA was over 20x. Thus, our target multiple appears conservative.

Upside risks are stronger ESS/EV battery order growth and more favorable US/Europe subsidies.



Downside risks are related to ESS/EV battery order trend and US/Europe EV policies.

Samsung SDS (XWPBF)

Our PO of W400,000 is based on 27x 2027-28E P/E, which is higher than the long-term historical average of 20x (2017-25) due to strong growth in AI demand and well-managed costs (above-trend growth/margin). We also assume the large net cash and robust FCF generation to sustain, despite AI-related capex increase.

Downside risks are lower impact of AI, potential capex cut among captive customers (Samsung Electronics, Samsung SDI, etc.), and weaker cloud demand.

Upside risk is upbeat AI/cloud demand.

Shinhan Financial Group (SFLGF / SHG)

We derive our price objective of W140,000 (\$100) using a target P/B multiple of 1.05x derived by the Gordon Growth Model. Our assumptions are a 10.4% sustainable RoE (from 24M average RoE), 10% cost of equity, and 2% terminal growth. We then apply a 0% premium to the sustainable RoE assumption, derived by regression analysis of historical RoE discount assuming the same cost of equity and terminal growth, combined with our view of the economic cycle.

The downside risks are (1) economic slowdown leading to higher credit cost (2) lower revenues from non-bank affiliates due to increased market risk, (3) EPS dilutive M&A, and (4) stronger demands for social contribution due to pressure on economic entities from high inflation.

SK Hynix (HXSCF / SKHY)

Our PO of W3,000,000 is derived from 8x 2027-28E EPS. Our 8x target P/E is based on the midpoint between the previous peak cycle (4-5x in 2017-18 during the cloud boom) and the long-term historical average (low teens). This is slightly below our fair multiples for global DRAM peers (9-11x) given elevated share-price volatility in 1H26 and July. Investors may be concerned about a potential downturn (2027 or 2028), given the strong 2025-26 earnings results. This is the rationale for using the 2027-28 valuation period and excluding 2026. We believe the company's proven earnings strength in 2026 and estimated record-high earnings in 2027-28, along with its global leadership position and high-margin profile, will lead to a re-rating to above 8x fair P/E. Upside risk is stronger-than-expected AI chip demand from US Big Tech, while downside risk also relates primarily to weaker chip demand.

Our ADR PO of US\$268 is derived from a 20% premium vs our local share fair value and FX rate of W1.34k/USD. The ADR premium has continuously been 20%+ since its IPO (10 July 2026). US listed competitors' 20%+ higher P/E (vs Asian local memory peers) also supports our target ADR premium. Upside/downside risk should be related to US listed competitors' valuation multiple changes and FX rate fluctuations.

SK Square (SKSQF)

The valuation methodology behind our PO of W2,000,000 starts with a fair market cap of Hynix (W2,133tn = 711mn shares ex-treasury x W3.0mn valuation, reflecting a 10-20% discount to long-term historical average reflecting high earnings volatility) x 20% stake (W438tn) x 40% discount = W264tn. If we divide the W264tn (the fair value of Square's firm value) by Square's outstanding shares (132mn), we arrive at W2.0mn fair value. Our 40% discount ratio assumption is slightly lower than the past 12-month average (mid-40%), to be conservative. Management's long-term goal is to make the discount ratio fall to near-30%.

Upside risk is Hynix's earlier/stronger-than-expected special dividend announcements in

2H26 vs normally late-Jan. Downside risk is unexpected memory industry downturn or Hynix's/ Square's payout ratio cut.

S-Oil (SOOCF)

Our 12-month price objective for S-Oil is W190,000, based on 7x 2027E EV/EBITDA multiple - the historical mid-cycle range (7-9x). We use an earnings based approach because of the strengthened earnings trajectory in the next 6-12 months given likely higher crude prices in the next 12 months, coinciding with a sanguine outlook for GRM.

Downside risks to our PO are faster-than-expected supply addition, particularly from China, along with aromatics (PX) expansions and worse-than-expected PX cycle, lower-than-expected dividend, and execution/reinvestment risks. Upside risks to our PO are a better-than-expected Asian GRM and PX, and further delays in PX new capacity additions.

Analyst Certification

We, Simon Woo, CFA, Ahyoung Cho, Amy Han, Dongho Shin, Jinhan Chun, Jisun Lee, KJ Hwang, Matt Shin, Nathan Gee, CFA, Sun Jung Lee, Taekyoung Ha and Zoe (Jung-ae) Chun, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Yingliu	XANHf	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Ming Hsun Lee, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCA PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Guizhou Aviation	XNSZF	688239 CH	Fiona Liang
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTf	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITFf	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGSXF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	RoboTechnik	XYICF	300757 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMXLF	002851 CH	Fiona Liang
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Ming Hsun Lee, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA

NEUTRAL

	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXGF	301029 CH	Ming Hsun Lee, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Ming Hsun Lee, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Ming Hsun Lee, CFA

UNDERPERFORM

	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Ming Hsun Lee, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Summer Wang, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Ming Hsun Lee, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIFF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTFD	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Alice Ma
	China Pet Foods	XDEEF	002891 CH	Alice Ma
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XESBF	605499 CH	Lucy Yu
	Eastroc	ERBGF	9980 HK	Lucy Yu



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Foshan Haitian	XFHXF	3288 HK	Alice Ma
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Guming	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTHEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	Japan Tobacco	JAPAF	2914 JP	Manabu Sumoge
	Japan Tobacco	JAPAY	JAPAY US	Manabu Sumoge
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA
	Leela Palaces Hotels & Resorts	XSBLF	THELELA IN	Aditya Mathur
	Lenskart Solutions	XLEMF	LENSKART IN	Aditya Mathur
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Mao Geping	XMGOF	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Meiji HD	MEJHF	2269 JP	Manabu Sumoge
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Lucy Yu
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Ronald Leung, CFA
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	TAL	TAL	TAL US	Lucy Yu
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	TCL Electronics	TCLHF	1070 HK	Yoyo Pang
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VLB IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Alice Ma
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Alice Ma
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA
NEUTRAL				
	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Arashi Vision	XSNSF	688775 CH	Ronald Leung, CFA
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Resources Beverage	XCRBF	2460 HK	Lucy Yu
	Chow Tai Fook Jewellery	CJEWf	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Alice Ma
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	ITC	ITCTF	ITC IN	Aditya Mathur
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Li Ning Co Ltd	LNGF	2331 HK	Lucy Yu
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Nissin Foods Holdings	NFPDF	2897 JP	Manabu Sumoge
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tingyi	TCYMF	322 HK	Lucy Yu
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Toyo Suisan	TSUKF	2875 JP	Manabu Sumoge
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Lucy Yu
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang
UNDERPERFORM				
	Anjoy Foods	XSWCF	603345 CH	Alice Ma
	China Feihe	CHFLF	6186 HK	Alice Ma
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUF	9921 TT	Ronald Leung, CFA
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHFF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	MXUGF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XXXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Breweries	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smoores	SMORF	6969 HK	Alice Ma
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Lucy Yu

APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	China Shenhua	CUAEF	1088 HK	Matty Zhao
	China Shenhua	XCUAF	601088 CH	Matty Zhao
	COSL	CHOLF	2883 HK	Yiming Wang
	COSL	XCNRF	601808 CH	Yiming Wang
	Dongfang Electric	DNGFF	1072 HK	Peter Wang
	Dongfang Electric	XDNFF	600875 CH	Peter Wang
	Formosa Plastics	FSAPF	1301 TT	Sun Jung Lee
	GAIL Limited	XGLAF	GAIL IN	Bharat Subramanian
	GAIL Limited	GALF	GAID LI	Bharat Subramanian
	GS Holdings	GSHDF	078930 KS	Sun Jung Lee
	Indorama Ventures Public Company Limited	INDMF	IVL TB	Komsun Suksumrun
	Indraprastha Gas	XTNFF	IGL IN	Bharat Subramanian
	Jereh	XDSDF	002353 CH	Peter Wang
	Kehua Data	XXLAF	002335 CH	Matty Zhao
	Kumho Petrochemical	KKMHF	011780 KS	Sun Jung Lee
	L&F	XLNTF	066970 KS	Taekyoung Ha
	LG Chem	LGCLF	051910 KS	Sun Jung Lee
	LG Energy Solution	XQIEF	373220 KS	Taekyoung Ha
	Mahanagar Gas	XMGRF	MAHGL IN	Bharat Subramanian
	Muyuan Foods	XMFXF	2714 HK	Matty Zhao
	Muyuan Foods	XYVFF	002714 CH	Matty Zhao
	Oil and Natural Gas Corporation Limited	XOFOF	ONGC IN	Bharat Subramanian
	PetroChina	PCCYF	857 HK	Matty Zhao
	Petrochina Co Ltd-A	XPCLF	601857 CH	Matty Zhao
	PI Industries	XOQTF	PI IN	Charul Agrawal
	PTT Exploration	PTXLF	PTTEP TB	Komsun Suksumrun
	PTT Global Chemical PLC	XPGOF	PTTGC TB	Komsun Suksumrun
	PTT pcl	PTTPF	PTT TB	Komsun Suksumrun
	Reliance Inds	XRFLF	RELIANCE IN	Sachin Salgaonkar
	Santos	STOSF	STO AU	Cameron Needham
	Sinopec	SNPMF	386 HK	Matty Zhao
	Sinopec -A	SNPAF	600028 CH	Matty Zhao
	Sinopec Engineering	SENGF	2386 HK	Yiming Wang
	SK Innovation	SKOVF	096770 KS	Sun Jung Lee
	S-Oil	SOOCF	010950 KS	Sun Jung Lee
	Star Petroleum Refining	XSJSF	SPRC TB	Komsun Suksumrun
	Sungrow Power	XCBIF	300274 CH	Matty Zhao
	Thai Oil - L	TOJF	TOP TB	Komsun Suksumrun
	Wanhua Chemical	YWNHF	600309 CH	Yiming Wang
	W-Scope Chungju Plant	XWSWF	393890 KS	Taekyoung Ha
	Yankuang Energy	YZCHF	1171 HK	Matty Zhao
	Yankuang Energy	YZCIF	600188 CH	Matty Zhao
NEUTRAL				
	China Coal	CCOZF	1898 HK	Matty Zhao
	China Coal	XAWLF	601898 CH	Matty Zhao

APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Formosa Chemicals & Fibre	FMSFF	1326 TT	Sun Jung Lee
	Hanwha Solutions Corp.	HNWFF	009830 KS	Sun Jung Lee
	Indian Oil Corporation Limited	IOCOF	IOCL IN	Bharat Subramanian
	Kunlun Energy - H	KUNUF	135 HK	Yiming Wang
	Lotte Chemical Corporation	XLCCF	011170 KS	Sun Jung Lee
	Nan Ya Plastics	NNYPF	1303 TT	Sun Jung Lee
	Oil India Limited	XLCRF	OINL IN	Bharat Subramanian
	People & Technology	XDFYF	137400 KS	Taekyoung Ha
	Petronet LNG	POLNF	PLNG IN	Bharat Subramanian
	PTT Oil and Retail Business	XNINF	OR TB	Komsun Suksumrun
	Woodside Energy Group	WOPEF	WDS AU	Cameron Needham
	Woodside Energy Group	WDS	WDS US	Cameron Needham

UNDERPERFORM

	Bharat Petroleum Corporation Limited	XBPCF	BPCL IN	Bharat Subramanian
	Ecopro BM	XKURF	247540 KS	Taekyoung Ha
	Formosa Petrochemical	FPTCF	6505 TT	Sun Jung Lee
	Gujarat Energy	XGGRF	GUJENERG IN	Bharat Subramanian
	Hindustan Petroleum Corporation Limited	XHTPF	HPCL IN	Bharat Subramanian
	IRPC	IRPSF	IRPC TB	Komsun Suksumrun
	Petronas Chemicals	PECGF	PCHEM MK	Sun Jung Lee
	POSCO Future M	XTAMF	003670 KS	Taekyoung Ha
	Sinopec Shanghai Petrochemical Co	SPTJF	338 HK	Yiming Wang
	Sinopec Shanghai Petrochemical Co	SINFF	600688 CH	Yiming Wang
	SKC	XSXOF	011790 KS	Taekyoung Ha
	Solus Advanced Materials	XSOAF	336370 KS	Taekyoung Ha

APR - Basic Materials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Anhui Conch	AHCHF	914 HK	Matty Zhao
	Anhui Conch -A	AHCAF	600585 CH	Matty Zhao
	Banpu Pcl	XNORF	BANPU TB	Komsun Suksumrun
	Baosteel	BAOSF	600019 CH	Matty Zhao
	CGN Mining	CGNMF	1164 HK	Miriam Chan, CFA
	Chalco	ALMMF	2600 HK	Matty Zhao
	Chalco -A	XAMTF	601600 CH	Matty Zhao
	China Hongqiao	CHHQF	1378 HK	Miriam Chan, CFA
	China Jushi	XCKLF	600176 CH	Edward Leung, CFA
	CMOC Group Ltd	CMCLF	3993 HK	Miriam Chan, CFA
	CMOC Group Ltd	XCMUF	603993 CH	Miriam Chan, CFA
	CNBM	CBUMF	3323 HK	Matty Zhao
	Defu Tech	XJDDF	301511 CH	Yibing Xia
	Ganfeng Lithium	GNENF	1772 HK	Matty Zhao
	Ganfeng Lithium	XMOZF	002460 CH	Matty Zhao
	Hoa Phat Group	XPHTF	HPG VN	Jessie Lo
	Huayou Cobalt	XZHCF	603799 CH	Miriam Chan, CFA
	Jiangxi Copper	JIAXF	358 HK	Matty Zhao
	Jiangxi Copper	JGXCF	600362 CH	Matty Zhao
	JL Mag	XJMRF	300748 CH	Yibing Xia
	JL Mag	XZRIF	6680 HK	Yibing Xia
	Lee & Man Paper	LMPMF	2314 HK	Edward Leung, CFA
	Lynas Rare Earths	LYSDY	LYSDY US	Chen Jiang
	MMG Limited	MMLTF	1208 HK	Miriam Chan, CFA
	Nickel Asia Corporation	NCKAF	NIKL PM	Philip Albert Felix
	Nine Dragons Paper	NDGPF	2689 HK	Matty Zhao
	POSCO Holdings	PKXFF	005490 KS	KJ Hwang
	POSCO Holdings	PKX	PKX US	KJ Hwang
	Putailai	XVHGF	603659 CH	Edward Leung, CFA
	SD Gold	SGOLF	600547 CH	Miriam Chan, CFA
	SD Gold	SDGMF	1787 HK	Miriam Chan, CFA
	Sinoma Sci & Tech	XXTTF	002080 CH	Edward Leung, CFA



APR - Basic Materials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Tianqi Lithium	TQLCF	002466 CH	Matty Zhao
	Tianqi Lithium	XYECF	9696 HK	Matty Zhao
	Tinci Materials	XCVHF	002709 CH	Edward Leung, CFA
	United Tractors	PUTKF	UNTR IJ	Jessie Lo
	Xinyi Glass	XYIGF	868 HK	Matty Zhao
	Yunnan Energy	XLGFF	002812 CH	Edward Leung, CFA
	Yunnan Germanium	XYLXF	002428 CH	Miriam Chan, CFA
	Zhaojin Mining	ZHAOF	1818 HK	Miriam Chan, CFA
	Zijin Gold Int'l	ZJNGF	2259 HK	Matty Zhao
	Zijin Mining	ZJMF	2899 HK	Matty Zhao
	Zijin Mining	XZNMF	601899 CH	Matty Zhao
NEUTRAL				
	FLAT Glass	FGSGF	6865 HK	Edward Leung, CFA
	FLAT Glass	XFLCF	601865 CH	Edward Leung, CFA
	Maanshan Iron & Steel	MAANF	323 HK	Miriam Chan, CFA
	Maanshan Iron & Steel -A	MISIF	600808 CH	Miriam Chan, CFA
	Press Metal	PSSMF	PMAH MK	Jessie Lo
	PT Merdeka Battery Materials	XDMBF	MBMA IJ	Jessie Lo
	Semirara Mining and Power Corporation	SMIRF	SCC PM	Julian Roxas
	Shenzhen Dynanonic	XJDCF	300769 CH	Edward Leung, CFA
	Shenzhen Senior	XHYRF	300568 CH	Edward Leung, CFA
UNDERPERFORM				
	Angang Steel	ANGGF	347 HK	Miriam Chan, CFA
	Angang Steel -A	AGGSF	000898 CH	Miriam Chan, CFA
	Chengxin Lithium Group	XCNGF	002240 CH	Miriam Chan, CFA
	China Resources Building Materials	CJRCF	1313 HK	Matty Zhao
	Hangzhou First Applied Material	XMLMF	603806 CH	Miriam Chan, CFA
	Kibing Group	XIOCF	601636 CH	Edward Leung, CFA
	Oriental Yuhong	XSUUF	002271 CH	Edward Leung, CFA
	Siam Cement	SCVQF	SCC TB	Komsun Suksumrun
	Sichuan Yahua Industrial Group	XVHEF	002497 CH	Miriam Chan, CFA
	Tongwei	XGWTF	600438 CH	Miriam Chan, CFA
	Xinyi Solar	XNYIF	968 HK	Edward Leung, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNPF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang

NEUTRAL

	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA

UNDERPERFORM

	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVSF	992 HK	Robert Cheng
	Lenovo Group	LNNGY	LNNGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	YZZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

APR - Telecommunications Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	3BB Internet Infra Fund	XJBIF	3BBIF TB	Thititthep Nophaket
	Advanced Info	AVIZF	ADVANC TB	Thititthep Nophaket
	Bharti Airtel	BHTIF	BHARTI IN	Sachin Salgaonkar
	Converge ICT	XLERF	CNVRG PM	Ryle Daniel Mungcal
	Digital Telecommunications Infra Fund	TTCFF	DIF TB	Thititthep Nophaket
	Far EasTone	FEOTF	4904 TT	Yoyo Pang
	GDS Holdings	GDS	GDS US	Daley Li, CFA
	GDS Holdings	XMJFF	9698 HK	Daley Li, CFA
	Globe Telecom	GTMEF	GLO PM	Sukriti Bansal
	Indosat-Hutch	PTITF	ISAT IJ	Jessie Lo
	LG Uplus	LTCLF	032640 KS	Sun Jung Lee
	Megaport Ltd	MGPPF	MP1 AU	Sriharsh Singh
	NextDC Limited	NXDCF	NXT AU	Ware Kuo
	PLDT	PHTCF	TEL PM	Ryle Daniel Mungcal
	PLDT -A	PHI	PHI US	Ryle Daniel Mungcal
	PT Telkom	TLKMF	TLKM IJ	Jessie Lo
	PT Telkom	TLK	TLK US	Jessie Lo
	Singtel	SNGNF	ST SP	Sukriti Bansal
	Telstra Group	TTRAF	TLS AU	Ware Kuo
	Telstra Group-A	TLGPY	TLGPY US	Ware Kuo
	TPG Telecom	TPGTF	TPG AU	Ware Kuo
	VNET Group	VNET	VNET US	Daley Li, CFA
NEUTRAL				
	Chunghwa Telecom	CHWAF	2412 TT	Yoyo Pang
	Chunghwa Telecom	CHT	CHT US	Yoyo Pang
	KT	KTCNF	030200 KS	Sun Jung Lee
	KT	KT	KT US	Sun Jung Lee
	Spark New Zealand Ltd	NZTCF	SPK NZ	Ware Kuo
	Spark New Zealand Ltd.-SP ADR	SPKKY	SPKKY US	Ware Kuo
	Taiwan Mobile	TWMBF	3045 TT	Yoyo Pang
	True Corporation	XTPCF	TRUE TB	Thititthep Nophaket
UNDERPERFORM				
	Axiata	AXXTF	AXIATA MK	Sukriti Bansal
	CelcomDigi	DIGBF	CDB MK	Sukriti Bansal
	Indus Towers	XYAF	INDUSTOW IN	Sachin Salgaonkar
	Vodafone Idea	IDEAF	IDEA IN	Sachin Salgaonkar
	XL Smart	PTXAF	EXCL IJ	Jessie Lo
RSTR				
	SK Telecom	SKMTF	017670 KS	Sun Jung Lee
	SK Telecom	SKM	SKM US	Sun Jung Lee

APR - Transportation Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ANA Holdings	ALNPF	9202 JP	Nathan Gee, CFA
	Aurizon Holdings Limited	QRNNF	AZJ AU	Lara Tufegdizic
	Bangkok Airways	XAIGF	BA TB	Teerapol Udomvej, CFA
	Bangkok Expressway and Metro	XBQEF	BEM TB	Suppapong Iemkongaek, CFA, CMT
	Beijing-Shanghai High Speed Railway	XMREF	601816 CH	Amy Han
	COSCO Shipping Energy Transportation	CSDXF	1138 HK	Nathan Gee, CFA
	COSCO Shipping Energy Transportation	CSDJF	600026 CH	Nathan Gee, CFA



APR - Transportation Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Eastern Air Logistics	XEALF	601156 CH	Amy Han
	EVA Airways	XEACF	2618 TT	Nathan Gee, CFA
	Full Truck Alliance	YMM	YMM US	Fan Tso, CFA
	GMR Airports Ltd	XAIRF	GMRAIRPO IN	Nathan Gee, CFA
	Guangshen Railway	GNGYF	525 HK	Amy Han
	Guangshen Railway	GSHHF	601333 CH	Amy Han
	Hankyu Hanshin Holdings	HYUHF	9042 JP	Hiro Nakakura, CFA
	Hyundai Glovis	GLVIF	086280 KS	KJ Hwang
	IndiGo	XQBSF	INDIGO IN	Nathan Gee, CFA
	Int'l Container Terminal Service	ICTEF	ICT PM	Philip Albert Felix
	J&T Global Express	JTGLF	1519 HK	Fan Tso, CFA
	Japan Airlines	JPNRF	9201 JP	Nathan Gee, CFA
	JD Logistics	XKQDF	2618 HK	Fan Tso, CFA
	JR East	EJPRF	9020 JP	Hiro Nakakura, CFA
	JR Kyushu	KYYHF	9142 JP	Hiro Nakakura, CFA
	Korean Air	XSKLF	003490 KS	Amy Han
	Milkyway Chemical Supply Chain	XMCFY	603713 CH	Fan Tso, CFA
	Odakyu Railway	ODERF	9007 JP	Hiro Nakakura, CFA
	Pacific Basin	PCBBF	2343 HK	Nathan Gee, CFA
	Qantas Airways	QUBSF	QAN AU	Nathan Gee, CFA
	Qantas Airways	QABSY	QABSY US	Nathan Gee, CFA
	S.F. Holding Co., Ltd	XSLRF	002352 CH	Fan Tso, CFA
	Seibu Holdings	SEIBF	9024 JP	Hiro Nakakura, CFA
	SG Holdings	SGHHF	9143 JP	Hiro Nakakura, CFA
	Singapore Airlines	SINGF	SIA SP	Nathan Gee, CFA
	Sinotrans Limited	SNOTF	598 HK	Fan Tso, CFA
	Skymark Airlines	XHNJF	9204 JP	Nathan Gee, CFA
	Spring Airlines	XSCCF	601021 CH	Amy Han
	Thai Airways International	TARWF	THAI TB	Teerapol Udomvej, CFA
	Thailand Future Fund	XTFFF	TFFIF TB	Sirichai Chalokepunrat
	Virgin Australia	VGNAF	VGN AU	Nathan Gee, CFA

NEUTRAL

	Air China Ltd	AICAF	753 HK	Amy Han
	Air China Ltd -A	XANLF	601111 CH	Amy Han
	Airports of Thailand	ARPRF	AOT TB	Teerapol Udomvej, CFA
	Asia Aviation	XZWTF	AAV TB	Teerapol Udomvej, CFA
	Beijing Capital Airport	BJCHF	694 HK	Amy Han
	Cathay Pac Air	CPCAF	293 HK	Amy Han
	China Airlines	XCHIF	2610 TT	Nathan Gee, CFA
	China Merchants Port Holdings	CMHHF	144 HK	Karl Choi, CFA
	HMM Co Ltd	HYMMF	011200 KS	Nathan Gee, CFA
	JR Central	CJPRF	9022 JP	Hiro Nakakura, CFA
	JR West	WJRYF	9021 JP	Hiro Nakakura, CFA
	Kawasaki Kisen	KAKKF	9107 JP	Nathan Gee, CFA
	Mitsui O.S.K. Lines	MSLOF	9104 JP	Nathan Gee, CFA
	Nippon Yusen	NYUKF	9101 JP	Nathan Gee, CFA
	Sinotrans	XMKOF	601598 CH	Fan Tso, CFA
	SITC International Holdings	SITIF	1308 HK	Nathan Gee, CFA
	Tokyo Metro	XIXJF	9023 JP	Hiro Nakakura, CFA
	Tokyu Corporation	TOKUF	9005 JP	Hiro Nakakura, CFA
	TravelSky Technology	TSYHF	696 HK	Amy Han
	YTO Express	XYTOF	600233 CH	Fan Tso, CFA
	ZTO Express	ZTO	ZTO US	Fan Tso, CFA

UNDERPERFORM

	China Eastern	CHEAF	670 HK	Amy Han
	China Eastern Airlines Co-A	XCHEF	600115 CH	Amy Han
	China Southern	CHKIF	1055 HK	Amy Han
	China Southern Airlines Co-A	CHKFF	600029 CH	Amy Han
	COSCO Shipping Holdings Co. Ltd.	CICOF	1919 HK	Nathan Gee, CFA
	COSCO Shipping Holdings Co. Ltd.-A	XCHDF	601919 CH	Nathan Gee, CFA
	CTS International Logistics	XMKUF	603128 CH	Fan Tso, CFA
	Daqin Railway	XDRCY	601006 CH	Amy Han
	Evergreen Marine	EVGQF	2603 TT	Nathan Gee, CFA
	Guangzhou Baiyun Airport	GZBYF	600004 CH	Amy Han



APR - Transportation Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Orient Overseas International Ltd	OROVF	316 HK	Nathan Gee, CFA
	Shanghai International Airport	XAISF	600009 CH	Amy Han
	STO Express	XSELF	002468 CH	Fan Tso, CFA
	Yamato Holdings	YATRF	9064 JP	Hiro Nakakura, CFA
	Yunda Holding	XFSWF	002120 CH	Fan Tso, CFA

APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Power Corporation	ABZPF	AP PM	Julian Roxas
	B.Grimm Power	XVSGF	BGRIM TB	Narumon Ekasamut
	Beijing Enterprises Holdings Limited	BJINF	392 HK	Cissy Guan
	CGN Power	XALQF	003816 CH	Gary Tsang
	CGN Power	CGNWF	1816 HK	Gary Tsang
	China Everbright Environment Group	CHFFF	257 HK	Cissy Guan
	China Yangtze Power Co., Ltd	CYGZF	600900 CH	Gary Tsang
	CK Infrastructure Holdings	CKISF	1038 HK	Cissy Guan
	CLP Holdings	CLPHF	2 HK	Cissy Guan
	CLP Holdings - A	CLPHY	CLPHY US	Cissy Guan
	Doosan Enerbility	DOHIF	034020 KS	Taekyoung Ha
	ENN Energy Holdings Ltd	XNGSF	2688 HK	Gary Tsang
	First Gen Corporation	FSGCF	FGEN PM	Julian Roxas
	Global Power Synergy	XWODF	GPSC TB	Narumon Ekasamut
	Guangdong Investment	GGDVF	270 HK	Cissy Guan
	Guangxi Guiguan Electric Power Co Ltd	XGPEF	600236 CH	Charlotte Xia
	Gulf Development	XKRIF	GULF TB	Narumon Ekasamut
	Jiangsu Zhongtian Technology	XJFJF	600522 CH	Gary Tsang
	Jinko Solar	XJGCF	688223 CH	Gary Tsang
	Manila Electric Co.	MERVF	MER PM	Julian Roxas
	Manila Water	MWTCF	MWC PM	Julian Roxas
	NHPC Ltd	XNTHF	NHPC IN	Amish Shah, CFA
	Ningbo Orient Wires & Cables	XORRF	603606 CH	Gary Tsang
	NTPC Ltd	NTHPF	NTPC IN	Amish Shah, CFA
	Power Assets	HGKGF	6 HK	Cissy Guan
	Power Grid Corporation of India Ltd	XPPWF	PWGR IN	Amish Shah, CFA
	SDIC Power Holdings	XLGVF	600886 CH	Charlotte Xia
	Sembcorp Industries	SCRPF	SCI SP	Mcrd Wang
	Synergy Grid & Development Phils., Inc.	XSLIF	SGP PM	Julian Roxas
	Tenaga Nasional Berhad	TNABF	TNB MK	Mcrd Wang

NEUTRAL

	China Power International	CPWIF	2380 HK	Charlotte Xia
	China Resources Gas Group Limited	CRGGF	1193 HK	Cissy Guan
	China Resources Power	CRPJF	836 HK	Gary Tsang
	Electricity Generating Company Ltd.	EYGGF	EGCO TB	Sirichai Chalokepunrat
	Hong Kong & China Gas	HOKCF	3 HK	Gary Tsang
	Korea Electric Power Corp	KEPLF	015760 KS	Taekyoung Ha
	Korea Electric Power Corp	KEP	KEP US	Taekyoung Ha
	Ratch Group PCL	XEGEF	RATCH TB	Sirichai Chalokepunrat

UNDERPERFORM

	ACEN Corporation	ACPIF	ACEN PM	Julian Roxas
	Beijing Enterprises Water	BJWTF	371 HK	Cissy Guan
	China Datang Renewable	XGDRF	1798 HK	Gary Tsang
	China Gas Holdings Limited	CGHOF	384 HK	Cissy Guan
	China Longyuan Power Group Corp. Ltd.	CLPXF	916 HK	Gary Tsang
	China Longyuan Power Group Corp. Ltd.	XXRYF	001289 CH	Gary Tsang
	China Three Gorges Renewables	XWRFF	600905 CH	Charlotte Xia
	Huadian Power International	HPIFF	1071 HK	Charlotte Xia
	Huadian Power Intl Corp-A	HPIZF	600027 CH	Charlotte Xia
	Huaneng Power International	HUNGF	902 HK	Gary Tsang
	Huaneng Power-A	HUNWF	600011 CH	Gary Tsang
	JA Solar	XJSTF	002459 CH	Gary Tsang



APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LONGi Green Energy Technology	XAQZF	601012 CH	Gary Tsang
	Tata Power Company Ltd	XNSGF	TPWR IN	Amish Shah, CFA
	Trina Solar	XVSLF	688599 CH	Gary Tsang

Korea - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	DB Insurance	DGBUF	005830 KS	Jisun Lee
	Hana Financial Group	HNFGF	086790 KS	Jisun Lee
	Hyundai Marine & Fire	HYMRF	001450 KS	Jisun Lee
	KB Financial Group	XKBGF	105560 KS	Jisun Lee
	KB Financial Group	KB	KB US	Jisun Lee
	Kiwoom Securities	KWOOF	039490 KS	Jisun Lee
	Mirae Asset Securities	DGHJF	006800 KS	Jisun Lee
	Samsung Fire & Marine	SZVZF	000810 KS	Jisun Lee
	Samsung Life Insurance	SSMMF	032830 KS	Jisun Lee
	Shinhan Financial Group	SFLGF	055550 KS	Jisun Lee
	Shinhan Financial Group	SHG	SHG US	Jisun Lee
	Woori Financial Group	XSLOF	316140 KS	Jisun Lee
	Woori Financial Group	WF	WF US	Jisun Lee
NEUTRAL				
	JB Financial Group	XMXXF	175330 KS	Jisun Lee
	KakaoBank Corp	XDFSF	323410 KS	Jisun Lee
	Kakaopay Corp	XDISF	377300 KS	Jisun Lee
UNDERPERFORM				
	BNK Financial Group	XSBFF	138930 KS	Jisun Lee
	iM Financial Group	DGBFF	139130 KS	Jisun Lee
	Industrial Bank of Korea	IBOKF	024110 KS	Jisun Lee

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	Ixigo (Le Travenues)	XIXIF	IXIGO IN	Pankaj Mehendiratta
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	Plan B Media PCL	XMKTF	PLANB TB	Suppamong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppamong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Z.AI Co., Ltd	KATJF	2513 HK	Alex Liu
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo

NEUTRAL

	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kanzhun Ltd.	XKLRF	2076 HK	Miranda Zhuang, CFA
	Kanzhun Ltd.	BZ	BZ US	Miranda Zhuang, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meesho	XMEEF	MEESHO IN	Sachin Salgaonkar
	Meituan	MPNGF	3690 HK	Joyce Ju
	NC	NCSCF	036570 KS	Jinhan Chun
	Nykkaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Swiggy	XPDWF	SWIGGY IN	Sachin Salgaonkar
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA

UNDERPERFORM

	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	BrainBees Solutions (FirstCry)	XZSQF	FIRSTCRY IN	Sachin Salgaonkar
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	Ming Yuan Cloud	XWTAf	909 HK	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Ping An Healthcare and Technology	PANHf	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDf	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSf	300496 CH	Daley Li, CFA
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA

APR - Gaming & Leisure Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aristocrat Leisure	ARLUF	ALL AU	Sriharsh Singh
	Atour Lifestyle	ATAT	ATAT US	Ronald Leung, CFA
	Central Plaza Hotel	XWTDF	CENEL TB	Teerapol Udomvej, CFA
	Galaxy Entertainment	GXYEF	27 HK	Karl Choi, CFA
	H World Group Limited	HTHT	HTHT US	Ronald Leung, CFA
	H World Group Limited	HWLDF	1179 HK	Ronald Leung, CFA
	Light & Wonder	LAWIL	LNW AU	Sriharsh Singh
	MGM China	MCHVF	2282 HK	Karl Choi, CFA
	Minor International	MINOF	MINT TB	Teerapol Udomvej, CFA
	Netmarble	XLGHF	251270 KS	Jinhan Chun
	Shangri-La Asia	SHALF	69 HK	Ronald Leung, CFA
	The Erawan Group	XCZVF	ERW TB	Teerapol Udomvej, CFA
NEUTRAL				
	Bloomerry Resorts	BLBRF	BLOOM PM	Ronald Leung, CFA
	China Tourism Group Duty Free	XCTVF	601888 CH	Ronald Leung, CFA
	Genting Singapore	GIGNF	GENS SP	Ronald Leung, CFA
	Lottery Corp	LTRCF	TLC AU	Sriharsh Singh
	Melco Resorts	MLCO	MLCO US	Karl Choi, CFA
	NagaCorp Ltd.	NGCRF	3918 HK	Ronald Leung, CFA
	PearlAbyss Corp	XEPAF	263750 KS	Jinhan Chun
	Sands China Ltd.	SCHYF	1928 HK	Karl Choi, CFA
	Wynn Macau, Limited	WYNMF	1128 HK	Karl Choi, CFA
UNDERPERFORM				
	BTG Hotels	XYGTF	600258 CH	Ronald Leung, CFA
	China CYTS Tours Holding	XCMWF	600138 CH	Ronald Leung, CFA
	Kakao Games	XKKGf	293490 KS	Jinhan Chun
	Shanghai Jin Jiang Intl Hotels Dev Co.	XGCQF	600754 CH	Ronald Leung, CFA
	SJM Holdings Limited	SJMHF	880 HK	Karl Choi, CFA

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ARCHION	XKBNP	543A JP	Shiro Sakamaki
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	CFMOTO	XCZOF	603129 CH	Joey Yang, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Desay SV	XGDFf	002920 CH	Joey Yang, CFA
	EVE	XEVFF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUFZ	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Momenta	XJAOF	6880 HK	Joey Yang, CFA
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGf	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Ming Hsun Lee, CFA
	Wuxi Lead	XLDFD	470 HK	Ming Hsun Lee, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA

NEUTRAL

	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTFW	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VOYAH	XRITF	7489 HK	Ming Hsun Lee, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang
UNDERPERFORM				
	Aima Technology	XIHF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNF	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	3SBio	TRSBF	1530 HK	David Li
	Adicon Holdings	ADCNF	9860 HK	David Li
	Aier Eye Hospital	XAEOF	300015 CH	David Li
	Akeso	AKESF	9926 HK	Ethan Cui
	Alembic Pharmaceuticals	XAPJF	9637 HK	David Li
	Angelalign Technology Inc	AGLFF	6699 HK	David Li
	Apollo Hospital	XWQAF	APHS IN	Neha Manpuria
	Astellas Pharma	ALPMF	4503 JP	Koichi Mamegano
	Astellas Pharma	ALPMY	ALPMY US	Koichi Mamegano
	Asymchem Laboratories	XALPF	002821 CH	David Li
	Aurobindo	XLZFF	ARBP IN	Neha Manpuria
	Australian Clinical Labs	XAUKF	ACL AU	Lianne Harrison
	Baiyunshan	GZPHF	874 HK	Sandra Sun
	Bangkok Chain Hospital	BKKFF	BCH TB	Teerapol Udomvej, CFA
	Bangkok Dusit Medical Services	BDMSF	BDMS TB	Teerapol Udomvej, CFA
	Beijing Tongrentang Co., Limited	BJTGF	600085 CH	David Li
	BeOne Medicines Ltd	BEIGF	6160 HK	David Li
	BeOne Medicines Ltd	ONC	ONC US	David Li
	Bumrungrad Hospital	BUHHF	BH TB	Teerapol Udomvej, CFA
	Cansino Bio	CASBF	6185 HK	David Li
	Chularat Hospital Group	XOCOF	CHG TB	Teerapol Udomvej, CFA
	Cochlear Limited	CHEOF	COH AU	Lianne Harrison
	CR Pharmaceutical	CRPGF	3320 HK	David Li
	Daiichi Sankyo	DSKYF	4568 JP	Koichi Mamegano
	Daiichi Sankyo	DSNKY	DSNKY US	Koichi Mamegano
	Divis Laboratories	XXQPF	DIVI IN	Neha Manpuria
	Dr. Reddy's	XDLZF	DRRD IN	Neha Manpuria
	Dr. Reddy's	RDY	RDY US	Neha Manpuria

APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Fisher & Paykel Healthcare	XPAXF	FPH AU	Lyanne Harrison
	Fisher & Paykel Healthcare	FSPKF	FPH NZ	Lyanne Harrison
	Fortis Health	XFFTf	FORH IN	Neha Manpuria
	Fujifilm Holdings	FUJIF	4901 JP	Kei Takeuchi
	FUJIFILM Holdings	FUJIY	FUJIY US	Kei Takeuchi
	Giant Biogene	GBHCF	2367 HK	Ethan Cui
	Gland Pharma	XGLPF	GLAND IN	Neha Manpuria
	Gushengtang	GSHTF	2273 HK	David Li
	Hansoh	HNSPF	3692 HK	David Li
	Hengrui Medicine	XMOKF	600276 CH	David Li
	Huadong Medicine	XCPDF	000963 CH	Ethan Cui
	Hualan Biological	XCBEF	002007 CH	Ethan Cui
	Hygeia Healthcare	HYHHF	6078 HK	Ethan Cui
	IHH Healthcare Berhad	IHHHF	IHH MK	Neha Manpuria
	IHH Healthcare Bhd	XFAHF	IHH SP	Neha Manpuria
	Innovent	IVBXF	1801 HK	David Li
	Integral Diagnostics	ITGDF	IDX AU	Lyanne Harrison
	Jinjin Fertility	JXFGF	1951 HK	Ethan Cui
	Jinyu Bio-Tech	XMTDF	600201 CH	David Li
	JMDC	JMDCF	4483 JP	Ritsuo Watanabe
	Kelun-Biotech	XSKBF	6990 HK	David Li
	Laekna	LAKEF	2105 HK	David Li
	M3	MTHRF	2413 JP	Ritsuo Watanabe
	Medley	XEQNF	4480 JP	Ritsuo Watanabe
	Menicon	MNNLF	7780 JP	Kei Takeuchi
	MicroPort	MCRPF	853 HK	Sandra Sun
	Mindray	XDVF	300760 CH	Sandra Sun
	Nakanishi	NKNSF	7716 JP	Kei Takeuchi
	New Industries Biomedical Engineering	XSNQF	300832 CH	Sandra Sun
	Nxera Pharma	SOLTF	4565 JP	Koichi Mamegano
	Otsuka HD	OTSKF	4578 JP	Koichi Mamegano
	Otsuka HD	OTSKY	OTSKY US	Koichi Mamegano
	Pharmaron	PHBBF	3759 HK	David Li
	Polynovo	CALZF	PNV AU	Lyanne Harrison
	Praram 9 Hospital	XPNHF	PR9 TB	Teerapol Udomvej, CFA
	ResMed Inc	RSMDF	RMD AU	Lyanne Harrison
	ResMed Inc.	RMD	RMD US	Lyanne Harrison
	Samsung Biologics	XBIIF	207940 KS	Zoe (Jung-ae) Chun
	Santen Pharm.	SNPHF	4536 JP	Koichi Mamegano
	Sawai Group Holdings	SWGHF	4887 JP	Ritsuo Watanabe
	Shanghai Pharmaceuticals	SHPMF	2607 HK	David Li
	Shanghai United Imaging	XCAOF	688271 CH	Sandra Sun
	Shimadzu	SHMZf	7701 JP	Kei Takeuchi
	Shionogi	SGIOF	4507 JP	Koichi Mamegano
	Shionogi	SGIOY	SGIOY US	Koichi Mamegano
	Sigma Healthcare	SIGGF	SIG AU	Lyanne Harrison
	Sino Biopharm	SBMFF	1177 HK	David Li
	Sinopharm	SHTDF	1099 HK	David Li
	Sonic Healthcare Limited	SKHCF	SHL AU	Lyanne Harrison
	Sysmex	SSMXF	6869 JP	Kei Takeuchi
	Takeda Pharm.	TKPHF	4502 JP	Koichi Mamegano
	Takeda Pharm.	TAK	TAK US	Koichi Mamegano
	Terumo	TRUMF	4543 JP	Kei Takeuchi
	TigerMed	HTMDF	3347 HK	David Li
	Torrent Pharma	TOPHF	TRP IN	Neha Manpuria
	Towa Pharmaceutical	TWAPF	4553 JP	Ritsuo Watanabe
	Wuxi Apptec	WUXIF	2359 HK	David Li
	Wuxi Apptec	XLUHF	603259 CH	David Li
	Yunnan Baiyao	YBAIF	000538 CH	Sandra Sun
NEUTRAL				
	Ain Holdings	AINPF	9627 JP	Ritsuo Watanabe
	Alkem	XAMLF	ALKEM IN	Neha Manpuria
	Asahi Intecc	AHICF	7747 JP	Kei Takeuchi
	Chugai Pharm.	CHGCF	4519 JP	Koichi Mamegano
	Cipla	XCLAF	CIPLA IN	Neha Manpuria



APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	CSL Limited	CMXHF	CSL AU	Lyanne Harrison
	CSL Limited	CSLLY	CSLLY US	Lyanne Harrison
	Everest Medicine	XMLKF	1952 HK	David Li
	Imeik	ZMITF	300896 CH	Ethan Cui
	Max Healthcare	XMHLF	MAXHEALT IN	Neha Manpuria
	Ono Pharm.	OPHLF	4528 JP	Koichi Mamegano
	Ramsay Health Care Limited	RMSYF	RHC AU	Lyanne Harrison
	Sumitomo Pharma	DNPUF	4506 JP	Koichi Mamegano
	Topchoice Medical	XZDXF	600763 CH	Ethan Cui
	WuXi Biologics	WXIBF	2269 HK	David Li
	Zai Lab	ZLAB	ZLAB US	David Li
	Zai Lab	XCDZF	9688 HK	David Li
	Zyodus Lifesciences	XMQLF	ZYDUSLIF IN	Neha Manpuria

UNDERPERFORM

	Autobio Diagnostics Co Ltd	XQDXF	603658 CH	Sandra Sun
	Baiyunshan	XOUFF	600332 CH	Sandra Sun
	Beijing Wantai Biological Pharmacy	XBHIF	603392 CH	David Li
	Biocon	XLOFF	BIOS IN	Neha Manpuria
	CSPC Pharmaceutical	CHJTF	1093 HK	Ethan Cui
	EBOS Group Limited	EBOSF	EBO NZ	Lyanne Harrison
	EBOS Group Limited	XEBOF	EBO AU	Lyanne Harrison
	Eisai	ESALF	4523 JP	Koichi Mamegano
	Frontage	FGHQF	1521 HK	David Li
	Healius Limited	PHCRF	HLS AU	Lyanne Harrison
	Joinn Lab	XQTSF	6127 HK	David Li
	Joinn Lab	JOLCF	603127 CH	David Li
	Kyowa Kirin	KYKOF	4151 JP	Koichi Mamegano
	Lupin	XEFSF	LPC IN	Neha Manpuria
	Mankind Pharma	XDZXF	MANKIND IN	Neha Manpuria
	Medipal Holdings	MEPDF	7459 JP	Ritsuo Watanabe
	Nippon Shinyaku	NPNKF	4516 JP	Koichi Mamegano
	Olympus Corp.	OCPNF	7733 JP	Kei Takeuchi
	Ovctek	XOCKF	300595 CH	David Li
	Pharmaron	XLYGF	300759 CH	David Li
	PHC Holdings	PHCCF	6523 JP	Kei Takeuchi
	Pien Tze Huang	XUVHF	600436 CH	Sandra Sun
	Shanghai Pharmaceuticals	XKCRF	601607 CH	David Li
	SMS	SMSZF	2175 JP	Ritsuo Watanabe
	Sun Pharma	XPUCF	SUNP IN	Neha Manpuria
	TigerMed	XHTHF	300347 CH	David Li
	Yifeng Pharmacy	XYHCF	603939 CH	Ethan Cui
	Zhifei	XCHOF	300122 CH	David Li

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Aerospace/Defense Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	44	69.84%	Buy	36	81.82%
Hold	13	20.63%	Hold	10	76.92%
Sell	6	9.52%	Sell	5	83.33%

Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	56.39%	Buy	41	54.67%
Hold	28	21.05%	Hold	18	64.29%
Sell	30	22.56%	Sell	17	56.67%

Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	119	54.84%	Buy	104	87.39%
Hold	57	26.27%	Hold	44	77.19%
Sell	41	18.89%	Sell	32	78.05%

Equity Investment Rating Distribution: Chemicals Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	67	48.55%	Buy	29	43.28%
Hold	29	21.01%	Hold	19	65.52%
Sell	42	30.43%	Sell	22	52.38%

Equity Investment Rating Distribution: Consumer Products Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	38	47.50%	Buy	18	47.37%
Hold	25	31.25%	Hold	9	36.00%
Sell	17	21.25%	Sell	9	52.94%

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	1	16.67%

Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Energy Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	65	54.17%	Buy	52	80.00%
Hold	26	21.67%	Hold	23	88.46%
Sell	29	24.17%	Sell	21	72.41%

Equity Investment Rating Distribution: Financial Services Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	165	55.37%	Buy	109	66.06%
Hold	80	26.85%	Hold	53	66.25%
Sell	53	17.79%	Sell	36	67.92%

Equity Investment Rating Distribution: Gaming Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	16	42.11%	Buy	11	68.75%
Hold	16	42.11%	Hold	9	56.25%
Sell	6	15.79%	Sell	1	16.67%

Equity Investment Rating Distribution: Health Care Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	233	60.36%	Buy	133	57.08%
Hold	77	19.95%	Hold	44	57.14%
Sell	76	19.69%	Sell	28	36.84%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	68	62.39%	Buy	36	52.94%
Hold	15	13.76%	Hold	7	46.67%
Sell	26	23.85%	Sell	12	46.15%

Equity Investment Rating Distribution: Media & Entertainment Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	31	51.67%	Buy	16	51.61%
Hold	16	26.67%	Hold	8	50.00%
Sell	13	21.67%	Sell	6	46.15%

Equity Investment Rating Distribution: Steel Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	13	46.43%	Buy	8	61.54%
Hold	7	25.00%	Hold	6	85.71%
Sell	8	28.57%	Sell	7	87.50%



Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Telecommunications Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	55	53.92%	Buy	38	69.09%
Hold	19	18.63%	Hold	13	68.42%
Sell	28	27.45%	Sell	20	71.43%

Equity Investment Rating Distribution: Transport/Infrastructure Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	74	52.48%	Buy	44	59.46%
Hold	37	26.24%	Hold	19	51.35%
Sell	30	21.28%	Sell	13	43.33%

Equity Investment Rating Distribution: Utilities Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	86	53.42%	Buy	66	76.74%
Hold	33	20.50%	Hold	29	87.88%
Sell	42	26.09%	Sell	21	50.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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